# Bitcoin's Required Return

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**Abstract**

What return should Bitcoin earn from here? In average annual terms, its price trend implies 32%, the CAPM 11–16%, holders' stated expectations 14–22%. Our MCM equation gives what holders should require at each date: market risk plus two risks the CAPM omits, concentration (holders keep much wealth in it) and mortality, measured on 520 cryptoasset deaths. This required return is consistent with monthly returns since 2012; since 2018 the two differ by less than one standard error. Today Bitcoin's required return is 18% (90% range 15–22%), about 9.5% compounded for a buy-and-hold investor, and should keep falling as holders diversify.

**Keywords:** Bitcoin; cryptoassets; required return; MCM equation; expected return; survival analysis; limited participation; cost of capital; portfolio construction.

## 1. INTRODUCTION

Suppose you must write down one number: the return Bitcoin should be expected to earn, per year, from here. Three candidate answers are on the table, and they disagree by a factor of three.

The first comes from Bitcoin's own history. A simple rule divides the exponent of Bitcoin's power-law price trend (Burger 2019) by Bitcoin's age in years. Among the candidates tested it came closest to an unbiased forecast of the returns that followed: over rolling three- to five-year periods since 2012 its forecast errors averaged nearest to zero, with the exponent re-estimated each month from the data then available (Papadogiannis 2026a). That exponent has been 5.6–6.0 since 2016; at 5.62, the value used in this paper, the rule says about 32% a year today.[1] The second comes from standard asset pricing. The CAPM asks what Bitcoin's risk would cost a diversified investor today: the ten-year Treasury yield, 5% in autumn 2026, plus Bitcoin's beta to the stock market times a forward-looking equity risk premium (ERP) of 4% (Damodaran 2026; 6% as a high case; Table 3). Bitcoin's beta to the S&P 500, estimated on month-end total returns to May 2026, is 1.75 over the last four years, 1.5 since 2016, and 1.8 since 2012 (Appendix A), which gives

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[1]The three figures in this paragraph are arithmetic average annual returns. The rule of thumb, exponent over age ($\beta/A$), gives 32% at Bitcoin's age in May 2026 ($A = 17.4$ years). Its exact five-year form, $(1+5/A)^{\beta/5}-1$, gives 33% from mid-2026, the date of the last row of our tables. The compound (geometric) counterpart is lower by roughly half the variance, $\sigma^2/2$, and so depends on the volatility assumed: a drag of about 4.5 points at 30% volatility and 10 points at 45%, which is why the compound figure is a range, 22–28%, and the arithmetic figure a single number.

11–16% across those windows and the two premia. The third comes from asking people. In a large US household survey, those who hold crypto said they expected 22% over the next year in 2021 and 13.8% in 2025 (Candia, Coibion, Gorodnichenko, and Weber 2026); hence 14–22%.

These are not three estimates of one quantity; the disagreement begins with using one word for three things. The first is an *expected return*: a property of Bitcoin's price process, checkable only against what it later earns. The second is a *normative required return*: what an investor holding the CAPM's diversified portfolio ought to demand for Bitcoin's risk, whether or not any such investor holds it. The third is a *stated required return*: what the people who hold Bitcoin say they expect, an empirical fact about them. What is missing is a fourth, the one this paper builds: the *normative required return of the actual holder*, what the people who hold Bitcoin ought to demand given the risks their own portfolios carry. It is the one the price must satisfy in equilibrium, because they are the ones who must be willing to keep holding. That leaves a puzzle. For fourteen years Bitcoin delivered far more than the CAPM says it should. Underpricing that persistent is hard to defend, so the useful question is which risks its holders were paid for that the CAPM omits.

This paper answers by measuring those risks. Bitcoin pays no dividend or coupon, so its price must be expected to rise by enough to pay holders for the risks they take. We price three risks.

The first is *market risk*, the risk Bitcoin shares with the stock market, and the one risk the CAPM prices (Sharpe 1964; Lintner 1965). Bitcoin need not belong to a stock index for this to apply: the index stands in for the rest of an investor's wealth, and what is priced is how Bitcoin moves with it. Its beta to the S&P 500 is now about 1.75, worth about 7 points a year (throughout, returns are nominal US-dollar returns and "points" are percentage points of arithmetic average annual return), and behind it is a correlation that rose from about 0.2 before 2020 to about 0.5 since, as investors who also own equities entered (Copestake, Furceri, and Terracciano 2024; Appendix A). The second is *concentration risk*. The CAPM assumes every investor is fully diversified, so that an asset's own volatility costs nothing. Bitcoin's holders are not diversified: among US households that owned any crypto in 2021, crypto made up 19% of financial assets on average, and one in five kept more than half its financial assets in it, with similar shares reported for 2025 (Candia, Coibion, Gorodnichenko, and Weber 2026). For such a holder Bitcoin's volatility is a cost, and a larger one the larger the share of her wealth she keeps in it, which is how Merton (1987) prices assets held by few. The third is *mortality risk*, on which the CAPM is silent: the chance that the asset dies outright, through a ban, a protocol failure, an attack that breaks its cryptography, as a quantum computer might, or a collapse of the kind that ended Terra and FTX. Of the 1,815 cryptoassets in our census, 520 have died (Section 3), and the price of that risk is the standard compensation for a jump to ruin (Merton 1976).

Add the three to the risk-free rate and you have the return the holder requires. Take away the last two and what is left is the CAPM. These are the risks we judge important and can measure; others may exist (Section 8). The first two are measurable from Bitcoin's own prices and from surveys of who holds it. The third cannot be measured from Bitcoin, which has not died; it can only be measured from the deaths of other cryptoassets, as a life insurer prices one person from mortality tables of many.

**Mortality risk turns out to be small for an asset like Bitcoin.** We estimate mortality curves for the asset class from the census. (Earlier descriptive studies of "coin death" exist, notably Gandal, Hamrick, Moore, and Vasek (2021) and Grobys and Sapkota (2020); new here is a curated census built for pricing: death types, dates, recovery fractions, hazards by size, and the Lindy test.) The popular "Lindy" intuition,

that the longer an asset has survived the safer it is, is rejected: among tracked assets the death rate *rises* with age. And the hazard that matters for Bitcoin, the death rate of assets that reached the top twenty, measured over the whole census (2010–2026), is 3.5% a year by any cause and 0.30% a year for sudden, value-destroying collapses (Terra's LUNA and UST and FTX's FTT, all in 2022). That is worth 0.3–3.5 points of required return. Today the age rule's 32% is 27 points above the 5% risk-free rate, and the risk of death can account for only a small part of that excess.

**Concentration risk was the large term, and it has shrunk.** Before the ETF era crypto markets were segmented from mainstream capital (Makarov and Schoar 2020), and the holders of most of the supply were plausibly far more concentrated than the survey average. Option prices put a floor under what a fully invested holder requires (Martin 2017): 66–84% a year above the risk-free rate in 2017–22. At the 120% volatility of the early years the same holder required more than 100%.[2] Delivered returns were of that order. As volatility fell and holders became less concentrated the required return came down, term by measurable term, to about 18% today (90% range 15–22%). The sum, equation (1) of Section 2, is Merton's (1987) limited-participation pricing applied with observable inputs, not a factor regression or a consumption-based model, which cannot see who holds the asset.

**Tested month by month, the required return is in line with what Bitcoin delivered.** At every month-end since 2012 we compute the required return from the inputs known on that date. We convert it to a one-month return and set it beside what Bitcoin returned in the month that follows: 172 pairs, none overlapping, averaged and quoted per year. At each date the required return is a band rather than a point, mainly because holders' combined wealth is not observed before 2021: the lower edge counts every owner, with a modest average position, and the upper edge the early holders alone, who were fully invested while the coins were in few hands. Over 2018–26 Bitcoin delivered 46% a year on average, at the top of a required-return band of 16–46% whose middle was 31%; the gap to the middle is within the noise of so volatile an asset. Over 2012–17, when the required-return band was very wide (25–202%), Bitcoin delivered 219%, twice the middle and just above the top. In the standard regression test Bitcoin's alpha since 2018 is 24% a year under the CAPM and 1% under the MCM equation. The test has limits (Section 5): fourteen years of a volatile asset measure an average only roughly, and the required return says nothing about the timing of booms and busts. On the same test the age rule does about as well. What separates the two is construction: the required return is built from risks rather than extrapolated from the price trend. On this reading the age rule is a reduced form of a required return that was itself falling; it now sits above the required-return band.

**What this means in practice.** On today's inputs, Bitcoin's price has to rise by about 18% in an average year for its current holders, taken together, to be willing to keep it (90% range 15–22%). A buy-and-hold investor compounds at less than the average, because gains and losses of equal size do not cancel; at Bitcoin's current volatility the drag is about 9 points, so 18.3% compounds at about 9.5% a year. The 18% is the figure to compare with other expected returns, the 9.5% the rate at which wealth would grow. Both are today's figures and move with the inputs.

For an allocator three things follow. First, the age rule's 32%, an extrapolation of Bitcoin's price trend, is 14 points above what its holders now require. Second, Bitcoin is not a free diversifier: about 7 of the 18 points are payment for stock-market risk the allocator already holds. A diversified investor making a

[2]The concentration term is risk aversion times variance times portfolio weight, $\gamma\sigma^2 w$ (Section 2). At $w = 1$, $\gamma = 1$ and 120% volatility it is $1.2^2 = 1.44$, or 144 points a year above the risk-free rate. Today, with $\gamma$ of 1–2.8, $\sigma = 42\%$ and $w$ of 8–19%, the same term is 1–9 points.

first purchase would bear that market risk and a small risk of death but no concentration risk, so she should require less than its present holders do: the 5% risk-free rate, plus 6–8 points for its beta, plus 1–2 for death, or 12–15%. Third, the 18% tells her how much to hold: each 1% of her wealth in Bitcoin raises the return she needs by about half a point, so she stops at about 11% of financial wealth on the central numbers (Section 7).

**Contributions and plan.** The paper makes five contributions. The first is the MCM equation, named for its three risks (market, concentration, mortality): the CAPM extended by the two risks it assumes away, written for Bitcoin's actual holders (Section 2). The second is a measurement of concentration, the largest term through most of Bitcoin's history. We define the holder weight as Bitcoin's capitalization over its holders' wealth, anchor it on surveyed portfolios, and carry it through time for the average owner and for the early holders. Concentration supplied about 87% of the required return in 2013 and supplies about a third today (Sections 4 and 5, Appendix B). The third is a census of cryptoasset deaths built for pricing, in which the Lindy hypothesis is rejected and the hazard of top assets is measured; it shows that mortality was never the large term (Section 3, Appendix C). The fourth is a month-by-month test of the required return against Bitcoin's returns since 2012 (Section 5). The fifth places Bitcoin among the assets an allocator already holds, on the hypothesis that it is priced at what its holders require, so that the required return is also the return to expect. Four equity indices, gold and Ether are priced on the same inputs, which shows that Bitcoin's compound required return, about 9.5% a year, is close to that of equities at three times the volatility; a hurdle and a sizing rule for a diversified investor follow (Section 7). The equation is applied to Ether and smaller cryptoassets (Section 6) and to gold (Appendix E), where it reproduces a known result.

## 2. THE MCM EQUATION

**Expected versus required.** An asset's *expected return* is a forecast: what it will earn on average. Only realized returns can check it, and they check it badly: Elton (1999) shows that realized returns are so noisy that decades of data can fail to distinguish competing values. A *required return* is a hurdle: what an investor needs the asset to earn to be willing to hold it, given its risk. No market quotes a required return. A bond's can be read from its yield, and a stock's can be backed out of its price and expected cash flows (Gebhardt, Lee, and Swaminathan 2001; Claus and Thomas 2001); Bitcoin has no cash flows, so that route is closed. What its holders require can be read from what they say (Greenwood and Shleifer 2014), from the portfolios they choose (Giglio, Maggiori, Stroebel, and Utkus 2021), and from option prices (Martin 2017), or it can be derived from a model of what an investor ought to demand. The CAPM is the familiar model of that kind (Sharpe 1964; Lintner 1965), but it gives the hurdle of a fully diversified investor, and Bitcoin's holders are not diversified. This paper derives the hurdle for the holder Bitcoin actually has, with her concentration, and checks it against what holders say and what options imply (Section 4) and against what the asset delivered (Section 5). The last check rests on equilibrium: the price adjusts until the expected return equals what its holders require. That equality is what "the market is in equilibrium" means; it is why Cochrane (2011) can treat expected returns and discount rates as one object, and testing it is what empirical asset pricing does (Fama and French 2004). Section 7 uses the same equality the other way: if Bitcoin is priced in equilibrium, today's required return is also the return to expect. For an asset whose holders are still learning what it is, the gap can stay open for years, because learning makes realized returns predictable in ways no required return explains (Lewellen and Shanken 2002; Pástor and Veronesi 2009a).

**Whose requirement?** A required return is always someone's. A pension fund might be happy to hold Bitcoin at an expected 8%, but if pension funds do not hold it, their 8% has no bearing on the price. The price is set by the people who do hold the asset: it must offer enough for them to go on holding it. That is what this paper means by Bitcoin's required return. It is a property of the asset and its holder base, not of one investor, and it changes when the holders change.

**What risk aversion means.** A risk-averse person would pay to avoid a risk, even one with fair odds. Risk aversion, $\gamma$ (the Arrow–Pratt coefficient), says how much: to avoid a risk with variance $v$, a person with risk aversion $\gamma$ would give up about $\gamma/2 \times v$ (Pratt 1964; Arrow 1971). Both the risk and the payment are measured as shares of her portfolio. Take a coin toss for 10% of it. The variance is $0.10^2 = 0.01$, so a person with $\gamma = 2$ would give up $2/2 \times 0.01 = 1\%$ of her portfolio to avoid it, and a person with $\gamma = 1$ half a percent. ($\gamma = 1$ is the benchmark economists call log utility.) Estimates land between 1 and 4: about 2 from US household portfolios (Friend and Blume 1975), below 2 from labor-supply behavior (Chetty 2006), a median of 1.7 in Italian household panels (Chiappori and Paiella 2011), and small single digits in the macro calibrations that followed Mehra and Prescott (1985); 2–3 is the workhorse range.

**What concentration costs.** Holding a volatile asset is a risk of the same kind. Suppose an investor keeps a share $w$ of her portfolio in an asset whose volatility is $\sigma$ a year (for now, one that moves independently of the rest of her portfolio). Her portfolio then moves by $w$ times what the asset does, so the risk she bears has variance $\sigma^2 w^2$, and by the rule above she would give up $\frac{\gamma}{2}\sigma^2 w^2$ a year to be rid of it. The position earns her $w(\mu - r_f)$: her share times the asset's expected return $\mu$ above the risk-free rate $r_f$, its *excess return*. She chooses the share that makes the difference, $w(\mu - r_f) - \frac{\gamma}{2}\sigma^2 w^2$, as large as possible. At that share its derivative with respect to $w$ is zero, $\mu - r_f - \gamma\sigma^2 w = 0$, so that $\mu - r_f = \gamma\sigma^2 w$ (Merton 1969): one more dollar in the asset would earn exactly what its extra risk costs. The excess return she requires is therefore her risk aversion times the asset's variance times her share. With Bitcoin's current volatility, $\sigma = 0.42$ ($\sigma^2 \approx 0.176$), $\gamma = 2$ and the surveyed share of 2021, 19% (Section 4), that is $2 \times 0.176 \times 0.19 \approx 6.7$ points a year above the risk-free rate; at a share of 5% it is 1.8 points. The three inputs multiply, so halving the share lowers the requirement as much as halving risk aversion or the variance would. A broader holder base lowers the requirement only if it lowers the share, which needs holders' wealth to grow faster than the asset's capitalization. The ETF era did that, on the evidence available: institutions that report Bitcoin ETF positions hold under 1% of their portfolios in them on average (CoinShares 2025), against the 19% of surveyed owners. Read from left to right this is a sizing rule: given an expected return, it gives the share to hold (Section 7). Here it is read the other way. If holders hold the share that is best for them, an observed share and an observed volatility reveal the excess return the holder must have been requiring, which is how Merton (1987) prices an asset held by few. Adding the two risks this simplest version leaves out, market risk and sudden death, gives the paper's central equation, the **required-return equation**:

$$\mu - r_f = \underbrace{\beta\,\mathrm{ERP}}_{\text{market risk}} + \underbrace{\gamma\sigma^2 w}_{\text{concentration risk}} + \underbrace{\lambda\,(1-\delta)}_{\text{mortality risk}} \tag{1}$$

We call it the *MCM equation*, for market, concentration and mortality. On the left is the asset's expected return over the risk-free rate; on the right are the three risks, each stated per dollar held in the asset. $\beta$ is Bitcoin's beta to the equity market and ERP the equity risk premium. The **concentration term** is $\gamma$ times variance times the holder's own portfolio weight, the risk she cannot diversify because she chooses, or is

forced, to hold a lot of one thing. Every input carries a date, so the equation gives the required return at a point in time, not a constant of the asset.

**The mortality term.** A holder needs compensation for the risk that the asset dies, equal to the loss she can expect from it. That expected loss is the product of two numbers, as in the pricing of jumps and of default (Merton 1976; Duffie and Singleton 1999). $\lambda$ is the probability per year that the asset dies. $\delta$ is the *recovery fraction*, the share of her money a holder keeps when it does, so $(1-\delta)$ is the share she loses. They are multiplied because dying and losing everything are not the same thing: when TerraUSD collapsed, holders kept about two cents on the dollar ($\delta \approx 0.02$; Liu, Makarov, and Schoar 2023); when BUSD was wound down under regulatory order, holders redeemed at par ($\delta \approx 1$; NYDFS 2023). A 3% annual death probability with 95% lost on death is an expected loss of $0.03 \times 0.95 \approx 2.9$ points a year, and that is what the price must add, in the years the asset lives, to what holders otherwise require. A surviving asset's history contains this compensation in full, because the losses it was paid for never arrived (Brown, Goetzmann, and Ross 1995; Jorion and Goetzmann 1999). The required return of equation (1) contains it too, which is what makes the two comparable.

**Where the equation comes from.** Each term of equation (1) rests on an established result. The concentration term is textbook portfolio choice (Merton 1969) used as a pricing statement under limited participation (Merton 1987): when only some investors hold an asset, they must be paid for the idiosyncratic variance they absorb. The mortality term is the standard jump compensation (Merton 1976) read through the survival conditioning of Brown, Goetzmann, and Ross (1995), the form, hazard times loss, used in event-risk allocation (Liu, Longstaff, and Pan 2003; Das and Uppal 2004) and in the rare-disaster models that followed Barro (2006). The beta term is the CAPM. The equation reduces to it under two conditions: the hazard $\lambda$ is zero, and every holder's weight $w$ equals Bitcoin's share of all investable wealth, under 1%. The concentration term is then below 0.2 points and is no longer an addition to the CAPM: it is Bitcoin's own contribution to the risk of the market portfolio, which the CAPM counts when its market includes Bitcoin. What is new is the assembly and the measurement. Equation (1) joins the three terms into one pricing statement, measures each on its own data, and checks the result against holders' stated expectations, option prices and fourteen years of returns. Required returns for Bitcoin have been read from option prices (Almeida, Grith, Miftachov, and Wang 2024) and from factor regressions (Liu and Tsyvinski 2021), and coins have been priced against each other by crypto market, size and momentum factors (Liu, Tsyvinski, and Wu 2022). To our knowledge none has been built from the holders' side. The nearest work runs the other way, from investors' beliefs to their demand or their weights (Benetton and Compiani 2024; Duchin, Solomon, Tu, and Wang 2025); Appendix E.3 compares other estimates. The concentration mechanism is Merton's (1987) *investor recognition hypothesis*, which has an empirical record: assets held by few carry a higher cost of capital, which falls as recognition broadens. Levy (1978) and Errunza and Losq (1985) derived the same form for investors who hold few securities and for securities that foreigners cannot hold. The hypothesis has been tested for individual stocks, where broadening the shareholder base raises the price and lowers subsequent returns (Kadlec and McConnell 1994; Lehavy and Sloan 2008; Bodnaruk and Östberg 2009), and for national markets opening to foreign capital (Bekaert and Harvey 2000). Pástor and Veronesi (2009b) give it a lifecycle: a new technology's risk is idiosyncratic while it is small and held by few, and turns systematic as it is adopted. Ibbotson, Idzorek, Kaplan, and Xiong (2018) generalize it into a theory of popularity, in which hard-to-diversify assets earn a premium that popularity erodes. For cryptoassets the record is indirect: a

broadening investor base is linked to idiosyncratic volatility (Izadyar and Zamani 2022), and the participation of institutional investors explains the changes in crypto's correlation with equities (Copestake, Furceri, and Terracciano 2024), as index investment did for commodities (Tang and Xiong 2012). Every test above is a sign test on prices or correlations; this paper estimates the level.

**Four clarifications.** First, on what the equation explains. A full model of Bitcoin's price would start from the supply schedule, the pace of adoption and the costs of miners, and derive the price, its volatility, and who holds the asset (Biais, Bisière, Bouvard, Casamatta, and Menkveld 2023; Pagnotta 2022; Cong, Li, and Wang 2021). Such models take the rate at which investors discount Bitcoin's future as given, or leave it to be estimated. That rate is the object of this paper. Accounts that locate a blockchain's value in its ecosystem of firms and users (Papadogiannis 2026b) are complementary: they say where value comes from, this paper at what rate it is discounted. We take volatility, the holder's weight and the death hazard as observed. Second, the equation is special neither to Bitcoin nor to one holder. The same line prices founder stock and private equity (Moskowitz and Vissing-Jørgensen 2002; Kahl, Liu, and Longstaff 2003; Kerins, Smith, and Smith 2004) and emerging-market equities before liberalization; Bitcoin enters through the values of the inputs, and through one data advantage: a thousand-asset graveyard from which $\lambda$ can be measured rather than assumed. Every holder satisfies the equation with her own weight and risk aversion, since the more risk-averse hold less. Their holdings must add up to the whole asset, so the premium that clears the market is the same equation with the holders' combined weight (equation 2 in Section 5) and a wealth-weighted average of their risk aversions (Appendix B). Emerging markets show the mechanism we rely on (Bekaert and Harvey 2000; Henry 2000): required returns are high while a market is segmented and fall when it opens to outside capital; the ETF era is Bitcoin's liberalization. Third, on using the survey average for $w$. The equation needs the combined weight (all holders' Bitcoin over all their wealth), and the survey reports the average of household weights. The two coincide when holders have similar risk aversion, since each then adds Bitcoin until $\gamma\sigma^2 w$ reaches the same premium; otherwise the average is a bound (Section 4). The reading also assumes that holders chose their weights on beliefs that are right on average. A weight inflated by over-optimism satisfies the same equation but reveals a belief, not a fair premium, and only the comparison with realized returns in Section 5 can tell the two apart. Fourth, on whom the equation describes: an investor whose risk aversion does not change with her wealth, who faces two kinds of risk in Bitcoin, ordinary price swings and the chance of sudden death, and who keeps the rest of her wealth in the broad market (Appendix A).

**What the equation leaves out.** Equation (1) does not price everything, but what it omits has known signs. Pushing the required return up: a liquidity premium (Amihud and Mendelson 1986), material in Bitcoin's early years and small today; a jump-risk premium above the actuarial loss if deaths are systematic, which Section 7 charges for; ambiguity about the distribution itself, natural for a new asset; hedging demands against state variables such as monetary policy, to which Bitcoin has become sensitive (Copestake, Furceri, and Terracciano 2024). Pushing it down: a convenience or service yield from holding the asset, the analogue of gold's unobserved dividend in Barro and Misra (2016); a lottery preference for skewness (Barberis and Huang 2008); and disagreement under short-sale constraints, which raises prices and lowers expected returns (Miller 1977). Their net effect cannot be measured, only bounded. Option prices set a ceiling: a holder with *all* her wealth in Bitcoin requires 21–35% a year today, whatever risks she prices (Section 4), and today's holders, with 8–19% of their wealth in crypto (Section 4), must require less. Holders' stated expectations,

22% in 2021 and 14% in 2025, lie in the lower part of the equation's range for those dates or below it, which does not suggest a missing premium. Realized returns cannot decide the matter (Section 5): a net omission of a few points in either direction cannot be excluded, and it would move the 2026 required return one for one.

**What moves each term.** Volatility falls as markets deepen (Bitcoin's from about 150% in 2013 to 40–50% in 2026). The weight $w$ falls when holders' wealth grows faster than the asset's capitalization: when the only people willing to hold an asset are enthusiasts, each must hold a lot of it; when ETFs let everyone hold a sliver, nobody has to. The market term moves the other way, for the same reason. Beta measures how Bitcoin moves with the rest of its holders' wealth. Once holders also own equities, they sell both when their wealth or their appetite for risk falls. This happened in 2020, four years before the spot ETFs (Appendix A.3). The mortality term is the one with no trend. The census finds that the hazard of cryptoassets does not decline with age (Section 3), so we hold it constant, and new threats such as quantum computing could raise it (Appendix C). Figure 2 in Section 5 shows the path of each.

## 3. DATA, AND THE CENSUS OF CRYPTOASSET DEATHS

**Market risk and the risk-free rate.** Beta is estimated against the S&P 500, on month-end total returns of the Vanguard S&P 500 ETF (Yahoo Finance) over four-year windows. We use this index because the surveyed holders are US households and the ERP is measured on it; a global index gives nearly the same beta (Appendix A). The premium is held at 4%, close to the 4.2% implied by the S&P 500 at the start of 2026 (Damodaran 2026). The risk-free rate is the ten-year Treasury yield. Table 7 and Appendix E give the sources for other equity indices and gold.

**Concentration risk: prices, surveys and options.** Volatility comes from Bitcoin's monthly prices (Coin Metrics 2026). The holder weight comes from household surveys: crypto-ownership rates from the Federal Reserve's payment and household surveys and Pew (0.4% of US adults in 2014, 1.2% in 2018, 11% in 2021, 12% since), and owners' portfolio shares and expected returns from Candia, Coibion, Gorodnichenko, and Weber (2026), with Austrian household-finance data (OeNB 2025) as a European cross-check. Carrying the weight through time also uses Bitcoin's market capitalization and address counts (Coin Metrics), global household wealth (UBS Global Wealth Report), and spot-ETF and public-company holdings (Bitcoin Treasuries 2026); Appendix B shows each step. Risk aversion comes from the household-finance literature and from surveys of crypto owners' risk tolerance (Section 4). The requirement of a fully invested holder comes from Deribit option prices and the DVOL index.

**Mortality risk: a census of cryptoassets.** The asset panel is the Coin Metrics community dataset, observed July 2010 to May 24, 2026. After removing fiat exchange rates, tokenized equities, wrapped and staked duplicates, stablecoins, and trading-pair artifacts, the universe is **1,815 cryptoassets** and about 67,700 asset-months of exposure. Daily trading volume is available for nearly all and daily prices for the 139 historically significant ones, so volume dates births and deaths and prices give returns. We date an asset's birth to the first day it shows a price or volume. We count it as dead when its data feed ends more than 180 days before the dataset does (234 cases), when its price falls below 1% of its all-time high and never recovers (33 cases, on the price-complete subset), or when its trailing three-month volume falls below 1% of its peak and below $250,000 a day and never recovers (438 cases, overlapping the other two). The volume rule matches the abandonment criterion of Gandal, Hamrick, Moore, and Vasek (2021), with a floor

that spares mid-caps whose volume merely normalized after 2021; the other thresholds are conventions (Fantazzini 2022 reviews the alternatives), and the age result holds under narrower and broader definitions (Appendix C). Ticker migrations are not deaths: when MATIC became POL or EOS became Vaulta, holders received successor tokens one for one (Polygon Labs 2024; Binance 2025), and seventeen such events are removed. Catastrophes are dated from the public record: LUNA and UST at May 12, 2022, when Terra's blockchain was halted (Melinek 2022), and FTT at November 10, 2022, when FTX's assets were frozen (Securities Commission of The Bahamas 2022). The result is **520 deaths among 1,815 assets (29%)**, of which 8 are sudden, value-destroying *jump-collapses* and the rest gradual abandonment. Coin Metrics adds an asset only once it is significant, so micro-caps that died young never enter the panel, the instant-history bias of fund databases (Fung and Hsieh 2000). The panel therefore *understates* the death rate at young ages, which studies of all listed coins find to be high (Lansky 2020; Aldhahi and Alsamaani 2026). Our results on age hold for tracked assets (Appendix C.4). The elite estimates used for Bitcoin are unaffected: an asset in the top twenty is fully observed thereafter.

**Table 1:** Death rates of cryptoassets by size.

| Group | Assets | Deaths | Death rate a year |
|---|---|---|---|
| *All assets, in quarters by peak trading volume* | | | |
| Smallest quarter | 452 | 147 | 17.4% |
| Second quarter | 451 | 160 | 13.0% |
| Third quarter | 451 | 145 | 9.8% |
| Largest quarter | 452 | 67 | 3.2% |
| **Ever in the top 20 by volume** | **219** | **36** | **3.5% (2.5–4.9%)** |
| **of which sudden collapses** | **219** | **3** | **0.30% (0.06–0.86%)** |

Deaths per asset-year observed; 95% confidence intervals in parentheses. Rows in bold: the upper and lower ends of Bitcoin's mortality term.

**What the census shows.** Two results matter for pricing (Appendix C). First, tracked cryptoassets do not become safer with age. The popular "Lindy" idea, that the longer an asset has survived the longer it will survive, would make the death rate fall like one over age. The data reject it. The death rate rises from under 5% a year in an asset's first year to 12–17% between ages three and nine, and a regression of deaths on age with calendar-year effects gives an elasticity of **+0.42 (s.e. 0.04)** where Lindy requires $-1$. Cryptoassets age as young firms do, whose risk of failure also rises over the first years of life before it falls (Brüderl and Schüssler 1990); Papadogiannis (2025, 2026b) draws the wider parallel with firms. A digital asset gives a further reason to doubt Lindy, one the census cannot show: its cryptography is fixed at design, while the means of attacking it only improve (Appendix C.5). Second, size is what protects (Table 1): the death rate falls from 17.4% a year in the smallest quarter by trading volume to 3.2% in the largest. Of the 219 assets that ever reached the top twenty by monthly volume, 36 died over 1,017 asset-years, 3.5% a year, and only three were sudden collapses: LUNA, UST and FTT, each a near-total loss within days. None has occurred since. The others were slow fades.

**The mortality term used for Bitcoin.** The census gives a low and a high reading of the term, and we use the range between them, **0.3 to 3.5 points a year**, at every date, since hazard shows no decline with age. The low reading counts sudden collapses only, the event the term is defined for: Table 1 gives 0.30% a year for $\lambda$, and holders kept one to five cents on the dollar (Appendix C.3), so $\lambda(1-\delta) \approx 0.3$ points. The

high reading counts every top-twenty death as a sudden total loss: 3.5% a year in Table 1 (2.4% without the twelve deaths of 2025, mostly delistings). It overstates the term: in a slow fade holders can sell on the way down, and that loss is already in the asset's volatility and average return. Option prices agree, capping the probability of a collapse to zero at about 1.4% a year (Appendix C.5). The truth lies between the two, and central estimates use the middle, 1.9 points. With the low reading alone the 18% of Section 4 would be 16.6%; with the high reading alone, 19.8% (Appendix D). Risks that have never struck any asset, notably a quantum break of Bitcoin's signatures, would raise the term but cannot be priced from the census (Appendix C).

## 4. WHAT BITCOIN'S HOLDERS REQUIRE

The required-return equation, equation (1), needs five inputs. The graveyard supplied the mortality term. This section supplies the holder's portfolio weight and risk aversion, takes volatility from prices and the market beta from Appendix A, assembles the required return for 2026, and sets it against two outside readings, holders' stated expectations and option prices.

**Source 1: holders' measured portfolios.** The Cleveland Fed study of cryptocurrencies in household finance (Candia, Coibion, Gorodnichenko, and Weber 2026) reports the number the equation needs most. Among US households that owned any crypto in 2021Q3, crypto was **19% of financial assets on average**; 40% of owners held under 5%, and about a fifth held more than *half*. The 2025 wave reports similar shares without publishing the figure. Three points govern its use.

*It is an upper bound.* The 19% averages household shares, each counted once. What sets the price is the share of owners' combined wealth (equation 2), which is not reported and is lower if wealthier owners hold smaller shares. A European cross-check agrees: in the Austrian central bank's 2023 household survey, owners rarely held above 20–25% of financial assets in crypto (OeNB 2025).

*It measures crypto, not Bitcoin alone, which is what the equation calls for.* The concentration term prices how much of the holder's portfolio moves with Bitcoin: her Bitcoin share, plus her share in each other coin times that coin's beta to Bitcoin. Those betas are 0.85–1.15 (monthly, since 2018, for Ether and five other large coins), so the total is close to her crypto share, and we use that share as Bitcoin's $w$. Measured directly, the beta of the whole crypto market on Bitcoin is 1.0 (Section 6).

*For 2026 we use a range of 8–19%.* The upper bound is the survey's 19%; the market-clearing back-cast of Section 5 gives 23% for holders of the surveyed kind, and 15% when run on all cryptoassets (Appendix D). The lower bound adds a second class of holders, whom no survey counts as "crypto owners": investors in spot ETFs and in public companies that hold Bitcoin, about 2.5 million BTC by mid-2026. They are assumed to hold 1.5% of their wealth in it, which brings the combined weight to 8% (Appendix B).

**Source 2: holders' stated expectations, a partial check.** The same surveys asked holders what return they expected over the next year: 22% in 2021Q3, 13.8% in 2025Q2. Table 2 sets each answer against equation (1) evaluated with the inputs of its date.

The table is not a clean confirmation. In 2021 holders' stated 22% lies inside the model's 18–38% and is reproduced at a risk aversion of about 1.3, close to log utility: beliefs and positions cohere, as Giglio, Maggiori, Stroebel, and Utkus (2021) find for equity investors. In 2025 they do not. Holders said 13.8%, barely more than the risk-free rate plus the market term alone (12.2%), which leaves almost nothing for a fifth of their wealth in an asset with 53% volatility; it would take a risk aversion of about 0.2. Either

**Table 2:** Two survey waves, one equation.

| | 2021Q3 | 2025Q2 |
|---|---|---|
| Volatility $\sigma$ (at the survey date) | 77% | 53% |
| Holder portfolio weight $w$ | 0.19 (measured) | 0.19 ("similar across waves") |
| Risk-free rate | 1.5% | 4.4% |
| Market term (rolling beta $\times$ 4%) | 5.2 pts ($\beta = 1.3$) | 7.8 pts ($\beta = 2.0$) |
| Required return at $\gamma \in [1, 2.8]$ | 18–38% | 18–27% |
| Stated expected return | 22% | 13.8% |
| $\gamma$ that reproduces the stated return | $\approx 1.3$ | $\approx 0.2$ |

Mortality term at 0.3 points. Volatility is the measure of Section 5 (weights halving every nine months), averaged over the quarter each wave was fielded; Candia et al. report the 2025 wave as 2025Q2 and the 2025 portfolio share as similar to 2021's. Betas: the rolling four-year estimates of Appendix A.

holders in 2025 expected less than their own risk required, or they do not perceive the market risk the rolling beta measures, or a twelve-month point forecast given after a strong run is not the long-run expectation the equation prices. The paper therefore does not calibrate risk aversion to the surveys.

**The range for risk aversion.** The lower end of the range for $\gamma$ is below the household estimates of Section 2, because the people who choose to hold crypto are more tolerant of risk than other households. In the Federal Reserve's 2022 household survey about 40% of crypto investors rated their willingness to take financial risk at 7 or more out of 10, against under 20% of non-owners (Hayashi and Routh 2025); Austrian owners are likewise more risk-tolerant than non-owners (Stix 2021), and retail investors who buy crypto products hold risky portfolios and tilt further toward risk after their first crypto purchase (Hackethal, Hanspal, Lammer, and Rink 2022). These studies rank holders against non-holders but do not measure $\gamma$. A lower bound of 1, log utility, is our reading of them; it brackets the 1.3 implied by the 2021 survey. The choice matters. With the lower bound at 1.7, the median household of Chiappori and Paiella (2011), the central estimate below would be 19.2% instead of 18.3%, and as $\gamma$ goes to zero the required return falls to 12–15%, the diversified investor's hurdle of Section 7, which is where the 2025 answer sits.

**Source 3: option prices.** Options answer a question the surveys cannot: what would a holder with *everything* in Bitcoin require? No holder can be more concentrated, so her requirement is a ceiling for the concentration term. Martin (2017) shows that it can be read from option prices: an investor fully invested in an asset, with log utility ($\gamma w = 1$ in equation (1)), requires an excess return equal to the asset's variance as option prices imply it, not as history shows it. For July 2017 to December 2022, when implied volatility ran at 80–90%, Deribit options put this at **66–84 points a year** (Almeida, Grith, Miftachov, and Wang 2024). Crypto markets were then segmented from mainstream capital (Makarov and Schoar 2020), so holders close to all-in are plausible for those years; Section 5 builds the upper edge of the band on such a holder. Today implied volatility (Deribit's DVOL index) has run between about 40 and 55, so the same all-in holder would require $0.40^2$–$0.55^2 \approx$ **16–30 points of excess return**, or 21–35% a year in nominal terms. Today's holder is not all-in: with $w$ of 8–19% she requires **1–9 points** for concentration, on top of the risk-free rate and the market term.

**Putting the 2026 number together.** Table 3 lists every input of equation (1) and its source. Volatility, beta, the risk-free rate and the death hazard are measured; the ERP is a convention; risk aversion and today's holder weight are bounded, not measured, and carry the widest ranges. On a risk-free rate of 5.0%, the market term is 6–8 points, concentration 1–9 points and mortality 0.3–3.5 points. Summing the extremes

gives an *envelope* of 13–26% a year, which puts every input at its extreme at once. We therefore treat every value in a range as equally likely and draw the four ranged inputs independently, since they come from separate sources (prices, surveys, a census), 400,000 times (Appendix D). The median of the resulting required returns is **about 18% a year**; 68% fall in 16–20% and **90% in 15–22%**. These ranges describe uncertainty about the inputs; they are not statistical confidence intervals. The market term is now the largest component (about 7 points), followed by concentration (about 4.5); the holder weight contributes most of the width. Beta's range spans point estimates, not sampling error; with that error the 90% range is 14–23% and the median is unchanged (Appendix D). This is an arithmetic average; the compound return it implies is lower by about half the variance, roughly 9 points today, so about 9.5% a year.

**Table 3:** The inputs to the 2026 required return, and where each comes from.

| **Inputs with one value** | | | |
|---|---|---|---|
| Risk-free rate | **5.0%** | The ten-year Treasury yield in autumn 2026 (4.9–5.3% from the end of September to November 11, 2026). | |
| ERP | **4%** | Forward-looking: the premium implied by US stock prices was 4.2% at the start of 2026 (Damodaran 2026). Its recent high, 5.9% at the end of 2022, gives the high case of 6% (Appendix A). | |
| Volatility, $\sigma$ | **42%** | Monthly returns to May 2026, exponentially weighted with a half-life of nine months. Option-implied volatility has run at 40–55%; Appendix D varies $\sigma$. | |
| **Inputs with a range** | | **Low end** | **High end** |
| Beta | **1.5–2.0** | 1.5: all months since 2016. Two- and three-year windows give 1.3–1.4, with larger standard errors (Appendix A). | 2.0: the upper part of the four-year estimates since mid-2022 (1.6–2.2); the latest four- and five-year estimates are 1.75 and 1.8. |
| Risk aversion, $\gamma$ | **1–2.8** | 1 (log utility): crypto owners tolerate more risk than other households, and the 2021 survey implies 1.3. | 2.8: the upper part of the 2–3 range common in household finance; three-quarters of households are below 3 (Chiappori and Paiella 2011). |
| Holder weight, $w$ | **8–19%** | 8%: Bitcoin's value over the combined wealth of surveyed owners (about $7 trillion) and of ETF and corporate-treasury investors (about $13 trillion, if their Bitcoin is 1.5% of their wealth; Appendix B). | 19%: the crypto share of owners' financial assets in the Cleveland Fed survey (2021; similar in 2025). |
| Mortality, $\lambda(1-\delta)$ | **0.3–3.5 points** | 0.3: sudden collapses only, 0.30% a year at a 95% loss. | 3.5: every death of a top-twenty asset, slow fades included, counted as a total loss (Table 1). |

Beta: to the S&P 500, on monthly total returns. Market term: beta times the ERP. Concentration term: $\gamma\sigma^2 w$. Any value between the two ends of a range is treated as equally likely (see the text).

## 5. THE REQUIRED RETURN THROUGH TIME, AGAINST WHAT BITCOIN DELIVERED

A cost of capital earns its name if, over time, the asset delivers about what it says. This section checks that in three steps: compute the required return at every month-end since 2012, measure what Bitcoin delivered over the following month, and compare the two. The sample starts in January 2012 because Bitcoin's price series begins in July 2010 and the volatility estimate needs about eighteen months of it.

**Step 1: the required return at each month-end.** At every month-end we evaluate equation (1) with the inputs as they stood on that date. Three inputs that move with time are read directly from the data (Figure 1):

- *Volatility*: the standard deviation of monthly returns up to the date, with weights that halve every nine months back in time. There is no fixed window: the latest nine months carry half the weight and the latest three years 94% (Appendix A.7).
- *Beta*: estimated on the previous four years and capped at 3 (Appendix A).
- *The risk-free rate*: the ten-year Treasury yield of the date.

Risk aversion and the mortality term keep the ranges of Table 3 throughout.

**The holder weight.** The fourth input rests on an identity. Bitcoin's holders together own all of it, so their average weight is

$$w_t \;=\; \frac{C_t}{W_t}, \tag{2}$$

Bitcoin's capitalization divided by the total wealth of its holders. This is also the quantity that drives the premium in Merton (1987): the size of the asset relative to the wealth of the investors who hold it.

Capitalization is observed every month. Holders' wealth is observed once: in the 2021Q3 survey owners had 19% of their financial assets in crypto on average, and taking that as their combined share (Section 8) gives $W = C/0.19$. For every other date $W_t$ must be estimated, and the result depends on who counts as a holder. We use two readings. They are alternatives, and the band below takes the more demanding one as its upper edge.

*Reading 1: the average owner.* The holders are everyone who owns crypto. Their wealth is the survey value, scaled by the number of owners and by wealth per owner:

$$W_t \;=\; \frac{C_0}{0.19}\cdot\frac{q_t}{q_0}\cdot k_t, \qquad w_t^{\text{avg}} \;=\; \frac{C_t}{W_t + I_t/0.015}. \tag{3}$$

Here 0 denotes 2021Q3, $q_t$ is the surveyed share of adults who own crypto, and $k_t$ is wealth per owner relative to 2021, an assumed path from 0.25 in 2012 to 1.4 in 2026. $I_t$ is the Bitcoin held through funds and by public companies: the Grayscale trust from 2013, corporate treasuries from 2020 and the spot ETFs from January 2024. Their investors are assumed to have 1.5% of their wealth in it (Appendix B). We compute the weight with $I_t$ and without, which gives a band: 3% at both ends in 2013, 15–17% in 2017, 12–19% in 2021 and 8–23% in 2026 (Figure 1d).

*Reading 2: the early holder.* An average hides who held the coins. In 2013 Bitcoin was worth about $1 billion and the ownership rate implies some 600,000 owners. They cannot all have been fully invested: that would put each owner's entire wealth at $1,700. Most coins sat instead with a few miners and early adopters for whom Bitcoin was nearly everything they owned, and it was they who had to be willing to keep it. In

this reading the holders are that group alone. Their weight is 1 while ownership was no higher than in the 2018 survey (1.2% of adults), and it falls in proportion as ownership grows:

$$w_t^{\text{early}} \;=\; \min\!\left(1,\; \frac{q_{2018}}{q_t}\right), \tag{4}$$

with $q_t$ as in equation (3). The weight is 0.5 in mid-2019 and 0.1 from 2021, by then below the average owner's.

Where the fully invested era ends is a judgment. We end it at the 2018 survey: regulated Bitcoin futures began trading in December 2017, and the price gaps across exchanges that mark a segmented market are documented through February 2018 (Makarov and Schoar 2020). Ending it at the 2014 survey changes one period: the upper edge for 2015–17 falls from 105% to 79%, and delivered returns exceed it by 81 points, not 55 ($t = 1.7$). Nothing since 2018 moves by more than three points, and the 2026 required return is unaffected (Appendix D.2).

**The band.** Because several inputs are ranges, the required return at each date is a band, not a number. Its two edges are:

- *Lower edge*: the average owner with every input at its low end. Risk aversion is 1, the weight counts fund and treasury investors, mortality is 0.3 points, and the market term is cut by 15%.

- *Upper edge*: the larger of two numbers. (a) The average owner with every input at its high end: risk aversion 2.8, the weight of surveyed owners only, mortality 3.5 points, the market term raised by 15%. (b) The early holder's requirement, $r_f + w_t^{\text{early}}\sigma_t^2$.

Table 4 works the edges out at five dates, and panel (a) of Figure 2 shows them month by month. The early holder sets the upper edge in every month through 2016, in some months of 2017–19, and in none since. The band is an envelope, wider than a confidence interval: the inputs are unlikely to have sat at the same extreme together. Its midpoint is the average of the two edges: a convention, not an estimate.

**Step 2: what Bitcoin delivered.** The required return is an arithmetic average, so delivery is measured the same way: as twelve times the average monthly return. A compound return would understate it by the volatility drag, 20 to 100 points a year. A single month is too noisy to plot: annualized, months run from $-470\%$ to $+5{,}400\%$. Panel (a) of Figure 2 therefore smooths them: the black line is the average return from eighteen months before each date to eighteen months after it, and plays no part in the test. The circles are the period averages of Table 5, which the test compares.

**Step 3: the test.** The required return computed at a month-end is quoted per year, as an interest rate is, and applies from that date on. We convert it to a one-month return and pair it with what Bitcoin returned in the month that follows. At the end of December 2023, for example, the midpoint was 22.5% a year, or 1.9% for the month; Bitcoin returned 0.9% in January 2024, so that month's gap is $-1.0$ point. There are 172 such pairs, none overlapping, from January 2012 to April 2026. Table 5 averages the required and the delivered returns over the same months, for the whole sample and by three-year period (Appendix D.2), and quotes both as annual rates; Figure 3 plots the period gaps. A single month's gap is mostly noise, so the average gap is judged against its *standard error*: the standard deviation of the monthly gaps divided by the square root of their number. A gap within two standard errors cannot be told from zero at the 5% level. They are wide: the precision of an average return depends on the length of the sample, not on how often it is sampled

**Table 4:** The required-return band worked out at five dates.

| | Mid-2013 | Mid-2017 | Mid-2019 | 2021Q3 | May 2026 |
|---|---|---|---|---|---|
| *Inputs at the date* | | | | | |
| Risk-free rate, % | 2.5 | 2.3 | 2.0 | 1.5 | 4.5 |
| Volatility, % | 151 | 80 | 90 | 77 | 42 |
| Beta | 3.00 | 2.15 | 0.70 | 1.30 | 1.75 |
| Average owner's weight, % | 3 | 15–17 | 20–25 | 12–19 | 8–23 |
| Early holder's weight, % | 100 | 100 | 51 | 11 | 10 |
| *Required return, % a year* | | | | | |
| Lower edge: average owner, low inputs | 21 | 20 | 21 | 13 | 12 |
| Upper edge, the larger of | | | | | |
| (a) average owner, high inputs | 42 | 46 | **64** | **42** | **27** |
| (b) early holder | **231** | **67** | 43 | 8 | 6 |
| Midpoint | 126 | 43 | 43 | 28 | 20 |

Bold: the number that sets the upper edge. The market term, beta times the 4% ERP, moves 15% either way, as the 2026 range of beta (1.5–2.0) does around 1.75. The May 2026 column uses that month's inputs; the 2026 required return of Table 3 takes the risk-free rate at 5.0% and the high weight at the surveyed 19%. The early holder's requirement is the bound of Martin (2017) for a fully invested investor with $\gamma = 1$, which includes the market and mortality terms. Formulas: Appendix D.2.

(Merton 1980), and even industry costs of equity carry standard errors above three points a year (Fama and French 1997).

- *Over the whole sample delivered and required returns are consistent, but the fit is loose.* Bitcoin delivered 118% a year. The band averaged 20–111%, with midpoint 64%. The gap to the midpoint is 54 points, with a standard error of 39.

- *The early years favor the early holder.* The lower edge, the average owner, leaves 98 points unexplained and is rejected ($t = 2.5$); the upper edge, the early holder until 2018, leaves 7. The gap to the midpoint is +120 points in 2012–14 (standard error 169) and +98 in 2015–17 (46), the one period in which the midpoint is rejected.

- *Since 2018 the two agree.* The gaps to the midpoint in the three periods are +30, +3 and +10, each well inside one standard error, and the gap to the upper edge is −1.

**The same test as a regression.** The standard test of a pricing model regresses the asset's excess return on the market's and asks whether the intercept, alpha, is zero (Jensen 1968). For the CAPM, Bitcoin's alpha is 90% a year over the whole sample ($t = 2.3$) and 24% since 2018 ($t = 1.1$). Subtracting the midpoint's concentration and mortality terms from Bitcoin's return and running the same regression gives the MCM alpha: 37% ($t = 0.9$) and 1% ($t = 0.1$); panel (c) of Figure 3 shows both by period. Since 2021 neither alpha differs from zero. Panel (d) cumulates what each model leaves unexplained: 1,307 points under the CAPM and 546 under the MCM equation over the sample, and 198 against 15 since 2018.

Why did Bitcoin deliver more than the midpoint in its early years? Three readings fit, and the data cannot separate them. Concentration may have been greater than the back-cast assumes: the returns of 2012–17 are what a holder with $\gamma w$ of about 1.2 (standard error 0.5) would require, nearly all her wealth in Bitcoin at a risk aversion near one. This is the early holder of equation (4). Early holders may have been paid for

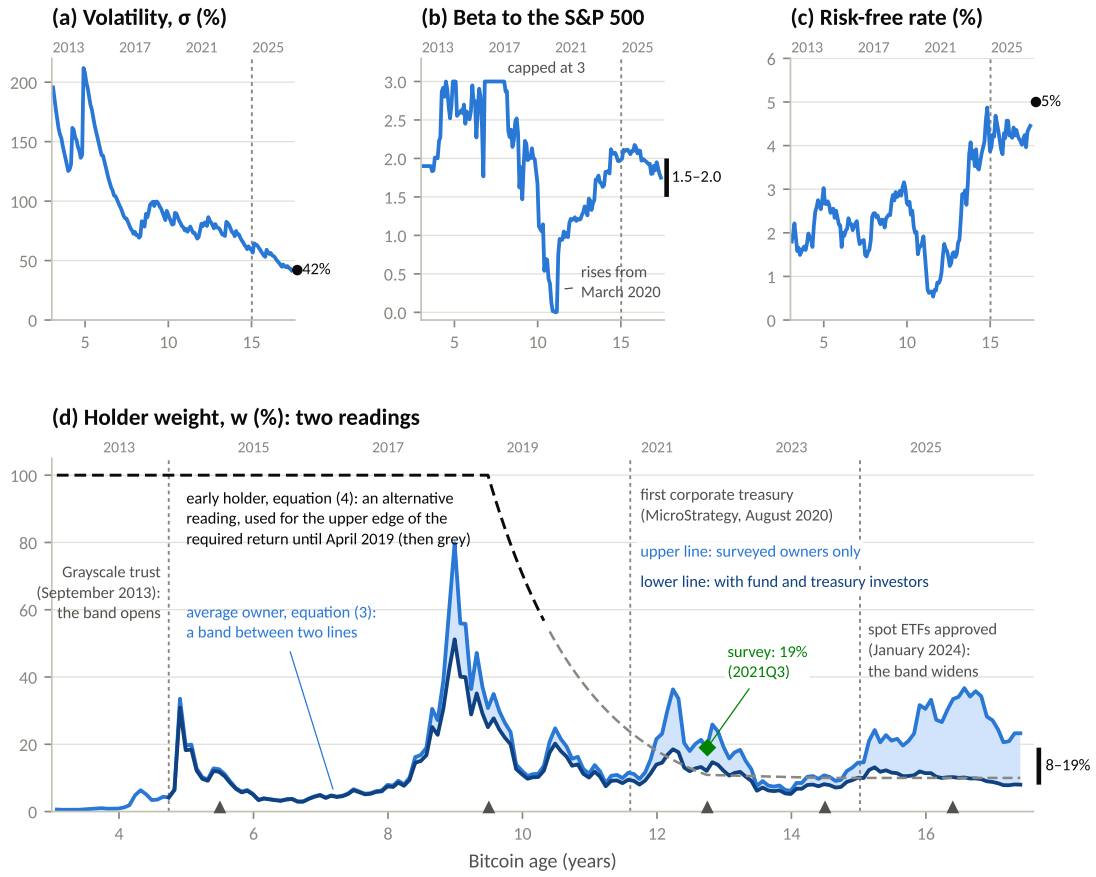



**Figure 1:** The four inputs of equation (1) that move with time, at each month-end. (a) Volatility. (b) Beta to the S&P 500 over the previous four years. (c) The ten-year Treasury yield. (d) Holder weight: the average owner of equation (3), a band from mid-2019, and the early holder of equation (4). Triangles: the surveyed ownership rates. Right edge: the 2026 values of Table 3. Dotted line in every panel: spot-ETF approval, January 2024.

risks the equation does not price: that Bitcoin or its exchanges would fail (as Mt. Gox did in 2014), and illiquidity. And a falling required return by itself lifts the price while the fall lasts, as with US equities when their valuations rose (Fama and French 2002).

The gap closed for two reasons. The band narrowed from over 200 points wide to about 15 as the two readings of who holds Bitcoin converged, and volatility fell. A single month, November 2013, when the price rose 451%, contributes 31 of the 118 points, and without calendar 2013 the full-sample gap to the midpoint is 12 points (standard error 21).

**What the test cannot show.** First, it has little power: a standard error of 24 points since 2018 cannot tell a 31% requirement from a 21% or a 41% one, nor the required return from the age rule, whose gap is 48 points over the full sample and 1 since 2018. Second, it is a test of level, not of timing. Month by month the required return's correlation with the following return is zero (0.17 for the age rule), and over five-year windows the age rule fits the path far better (Appendix D). The reason is in the construction: trailing volatility and a weight with capitalization in its numerator make the band highest at market peaks, when subsequent returns are lowest.

**What drove the requirement.** Panels (b) and (c) of Figure 2 split the midpoint into the four terms

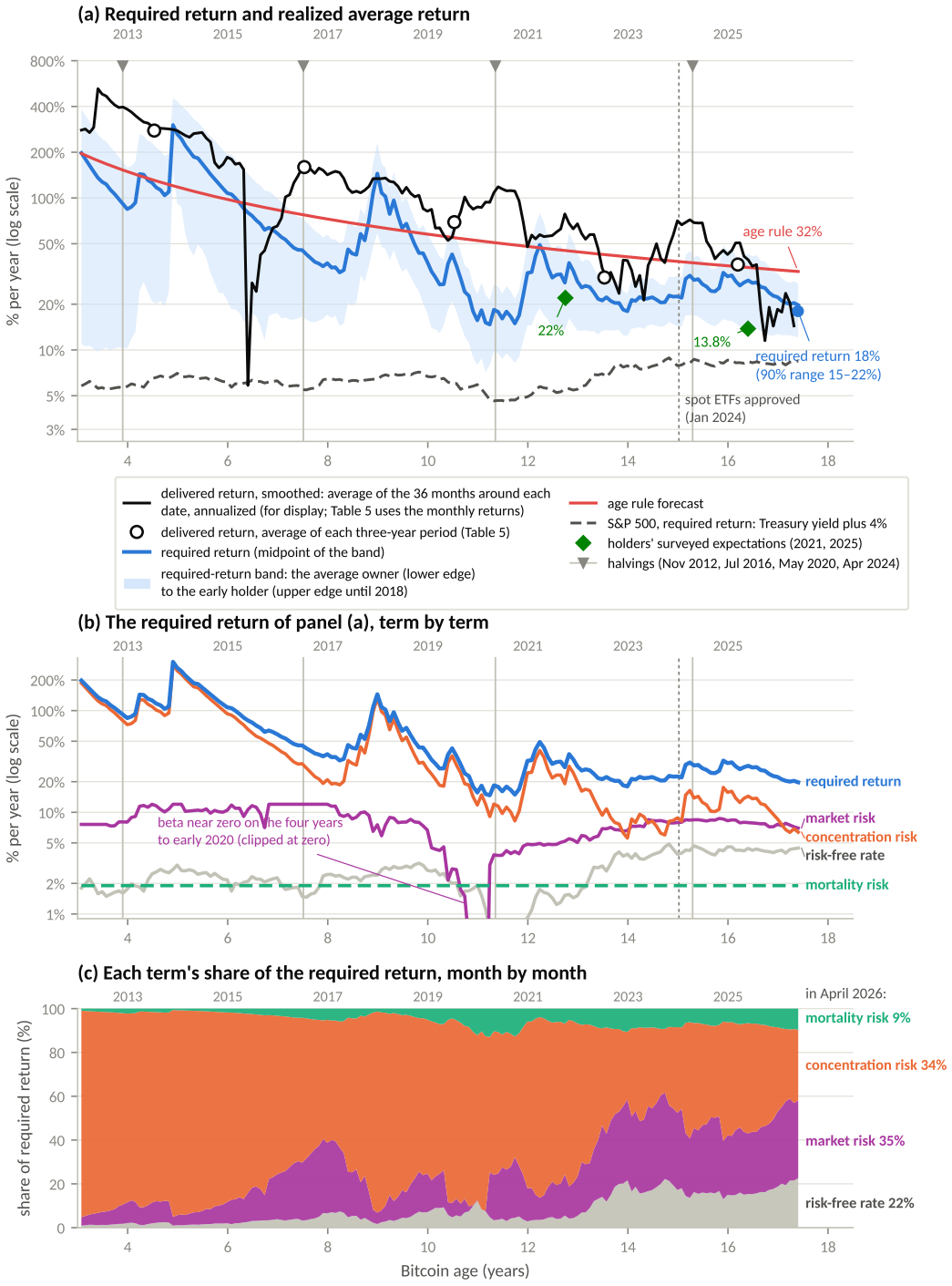



**Figure 2:** The required return since 2012. (a) The band and its midpoint: equation (1) at each month-end, from the inputs of Figure 1 and the edges of Table 4. Black line: Bitcoin's monthly returns, annualized and smoothed (Step 2); not used in the test. Circles: the period averages of Table 5, which the test uses. Dashed: the S&P 500's required return, the Treasury yield plus the 4% ERP. (b) The midpoint of panel (a) split into the four terms of equation (1); mortality is held at 1.9 points and concentration is the remainder. (c) Each term's share of the midpoint, month by month; the labels give April 2026.

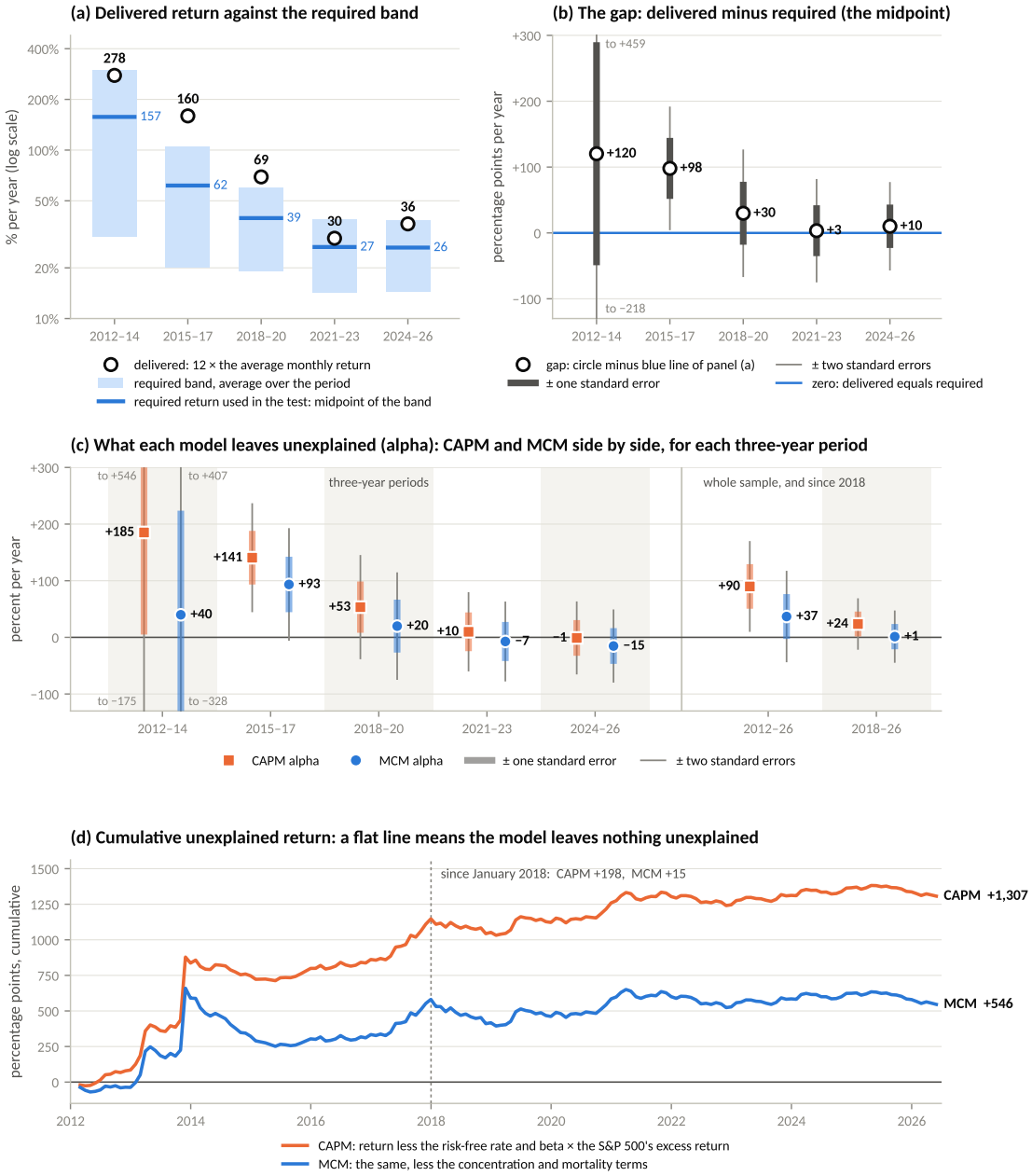



**Figure 3:** The monthly test by three-year period (Table 5). (a) The average delivered return (circles) against the average band and its midpoint; logarithmic scale. (b) The gap: delivered minus required (the midpoint of the band), with one and two standard errors. (c) The intercept of a regression of Bitcoin's monthly excess return on the S&P 500's (CAPM), and of the same regression net of the midpoint's concentration and mortality terms (MCM). (d) The running sum of each month's return less what each model allows.

**Table 5:** The monthly test: delivered against required return, percent per year.

| | | Required | | Delivered minus | | | |
|---|---|---|---|---|---|---|---|
| Period | Delivered | Band | Midpoint | Lower edge | Midpoint (s.e.) | Upper edge | Age rule |
| 2012–26, all | 118 | 20–111 | 64 | +98 | +54 (39) | +7 | +48 |
| 2012–14 | 278 | 31–298 | 157 | +247 | +120 (169) | −21 | +143 |
| 2015–17 | 160 | 20–105 | 62 | +140 | +98 (46) | +55 | +82 |
| 2018–20 | 69 | 19–60 | 39 | +50 | +30 (48) | +9 | +15 |
| 2021–23 | 30 | 14–39 | 27 | +16 | +3 (39) | −9 | −12 |
| 2024–26 | 36 | 14–38 | 26 | +22 | +10 (33) | −2 | +1 |
| 2012–17 | 219 | 25–202 | 110 | +193 | +109 (87) | +17 | +112 |
| 2018–26 | 46 | 16–46 | 31 | +30 | +15 (24) | −1 | +1 |

Each observation pairs a month-end's required return with Bitcoin's simple return over the following month; all figures are twelve times the monthly average. There are 172 months: 36 in each three-year period and 28 in the last, which ends in April 2026. Delivered minus required is the average monthly difference, with its standard error in parentheses for the midpoint. Age rule: the one-month form of the rule, with the exponent held at its 2026 value, 5.62.

of equation (1). Read against panel (a), they show that each spike in the required return is a spike in the concentration term. That term was about 87% of a requirement near 126% a year in 2013, and still about 70% in 2021. After the dilution of the holder base and the fall in volatility, the mix in April 2026 is market risk 35%, concentration 34%, the risk-free rate 22% and mortality 9%. Bitcoin's required return is now mostly the price of ordinary market risk and the risk-free rate, the profile of a high-beta risk asset, with a concentration premium that is material but no longer dominant. Panel (a) shows the convergence: the midpoint stood 120 points above the S&P 500's required return in mid-2013, 22 in 2021Q3 and 11 in May 2026, helped lately by higher bond yields. (The midpoint ends at about 20% in May 2026, not the 18% of Section 4, because it weights the band's corners equally, which the propagation of Appendix D does not.)

**The age rule, on this account.** Both the required return and the age rule fell from over 100% to tens of percent. The age rule is best read as a reduced form of the required return: right on average while the inputs happened to fall roughly as one over age, with no structure to say whether they will go on doing so. They have not: volatility and the holder weight fell with integration, not with age, and the market term rose with it. The age rule's 33% for mid-2026 sits above the top of the required band (27%), and in windows beginning after the power law's 2019 publication Bitcoin fell short of the rule by 5–8 points a year (Papadogiannis 2026a).

**Premium or belief?** A large holder weight has two possible sources. Few investors can or will hold the asset, so each holds a lot and the price must pay them a premium (Merton 1987). Or investors pile in because they expect a great deal, the price rises to meet the belief, and the return does not arrive. The weight alone cannot tell the two apart; the returns can. They ran above the midpoint before 2018 and have matched it since, which favors the premium reading over the sample as a whole. It does not hold at every date: the required return was highest at the 2013, 2017 and 2021 peaks and the returns that followed were below it, which is what belief-inflated weights at peaks would produce.

**The cross-section.** The typical altcoin, more volatile and likelier to die, required more than Bitcoin and delivered less: since 2018 the median one has lost 27% a year compounded (Section 6). Bitcoin, where delivered and required returns meet, is the winner of its cohort (at age ten the median coin born 2010–14

had compounded at 50% a year, Bitcoin at 233%), so the required return is validated on a selected path.

## 6. THE MCM EQUATION FOR ETHER AND OTHER CRYPTOASSETS

Nothing in the MCM equation (1) is specific to Bitcoin. For another cryptoasset three of the inputs are measured as they are for Bitcoin: volatility and the beta to equities from the asset's prices, and the mortality term from the census, by size class. The fourth, the holder weight, needs one more step.

**The holder weight of another cryptoasset.** For Bitcoin the holder weight $w$ of equation (2) was anchored on surveys and carried through time (Sections 4 and 5). What the surveys report is the share of an owner's wealth in crypto as a whole, which we read as Bitcoin's weight. As a group, crypto owners hold every cryptoasset in proportion to its capitalization, so the average owner's crypto holding is the crypto market itself. We measure that market on the 84 cryptoassets in the Coin Metrics data that report a price and a capitalization, stablecoins excluded, each weighted by its capitalization: in April 2026 it was 73% Bitcoin, 14% Ether and 13% other coins. The concentration term of equation (1) pays the holder for the risk the asset adds to her own portfolio, which is the covariance of the asset's return with the return on what she holds. If she holds one asset, at weight $w$, that covariance is $w\sigma^2$, the form in equation (1). If she holds the crypto market, at the same weight $w$, it is $w$ times the asset's covariance with that market. Equation (1) therefore applies to asset $i$ with the weight

$$w_i \;=\; \kappa_i\, w, \qquad \kappa_i \;=\; \frac{\mathrm{Cov}(r_i,\, r_c)}{\sigma_i^2} \;=\; \rho_i\, \frac{\sigma_c}{\sigma_i}, \tag{5}$$

where $w$ is the weight of equation (2), $r_i$ and $r_c$ are the returns of the asset and of the crypto market, $\sigma_i$ and $\sigma_c$ their volatilities, and $\rho_i$ their correlation. In words, when the asset moves by 10%, the owner's crypto holding moves by $\kappa_i$ times 10% on average, so an owner with a share $w$ of her wealth in the crypto market bears the asset's risk as if she held $\kappa_i\, w$ of her wealth in that asset alone.

**The values of $\kappa$.** We estimate $\kappa$ on monthly returns over the four years to April 2026. For Bitcoin it is 1.0 (1.04, and 0.99 since 2018): Bitcoin is three-quarters of the market and the rest moves with it, so the market moves one for one with Bitcoin, and $w_i = w$: the weights of Sections 4 and 5 stand as they are. For Ether $\kappa$ is 0.7. Ether's correlation with the market is 0.91, but over those four years its volatility was 74% against the market's 57%, so the market moves by 7% when Ether moves by 10%. For the median large altcoin $\kappa$ is 0.47 (median correlation 0.74, median volatility 86%). With the 2026 weight of Table 3, $w$ of 8–19%, the holder weights are therefore 8–19% for Bitcoin, 6–13% for Ether and 4–9% for a large altcoin.

**Worked example: Ether.** At the midpoint of each range $w$ is 13.5%, so Ether's weight is $0.7 \times 0.135 = 9.5\%$. With a risk aversion of 1.9 and a volatility of 64%, the concentration term is $1.9 \times 0.64^2 \times 0.095 = 7.4$ points. The market term is Ether's beta of 2.35 times the ERP of 4%, or 9.4 points, and the mortality term is Bitcoin's, 1.9 points, since both are top-twenty assets. With the risk-free rate of 5.0% the sum is 23.7%. Drawing the inputs over their ranges, as for Bitcoin, gives a median of 23% (90% range 19–29%; envelope 16–35%).

**One date, not a path.** Table 6 is for 2026 only: the weight is the 2026 value, volatilities are those of May 2026, and betas and $\kappa$ are estimated over the four years to April 2026. The path of $w$ built in Section 5 belongs to the owner, not to the coin, so it would serve every asset; carrying another asset back through time would need only its own paths of $\kappa$, volatility and beta. We have not done this, because the record could not

test such a path: since 2018 Ether has delivered an average of 48% a year with a standard error of 32. Its requirement was higher in earlier years. Ether's volatility has fallen as Bitcoin's has, from 172% at the end of 2017 to 99% in 2021Q3 and 64% in May 2026.

**The floor.** The risk-free rate, the market term and the mortality term need no holder weight. Together they are what an investor requires who holds the asset at a negligible weight: 14% a year for Bitcoin, 16% for Ether, 15% for a large altcoin and 30% for a small coin. Small coins have no price history in the data, so no $\kappa$ can be estimated and the floor is all we report for them. Their death risk alone is 16–17 points: the smallest quartile of the census dies at 17.4% a year, with almost nothing recovered.

**Table 6:** The required return of four cryptoassets in 2026, built term by term from the MCM equation (1). Percent per year; required returns are arithmetic averages.

| | Bitcoin | Ether | Large altcoin | Small coin |
|---|---|---|---|---|
| *Inputs* | | | | |
| Volatility, $\sigma$ | 42 | 64 | 76 (66–88) | 100–130, assumed |
| Beta to the S&P 500, $\beta$ | 1.5–2.0 | 2.0–2.7 | 1.5–2.7 | as large altcoin |
| $\kappa$, equation (5) | 1.0 | 0.7 | 0.47 (0.41–0.56) | not measured |
| Holder weight, $w_i = \kappa_i \times w$, with $w$ of 8–19% | 8–19 | 6–13 | 4–9 | not measured |
| *Required return, term by term* | | | | |
| Risk-free rate | 5.0 | 5.0 | 5.0 | 5.0 |
| + Market risk, $\beta \times$ ERP | 7.0 | 9.4 | 8.4 | 8.4 |
| + Mortality risk | 1.9 | 1.9 | 2.0 | 16.6 |
| = Floor: a holder with a negligible weight | 14 (12–16) | 16 (14–18) | 15 (13–18) | 30 (28–32) |
| + Concentration risk, $\gamma\sigma_i^2 w_i$ | 4.5 | 7.4 | 7.0 | not measured |
| = **Required return, average crypto owner** | **18** (15–22) | **23** (19–29) | **22** (18–29) | not measured |
| *Delivered, 2018–26* | | | | |
| Average (standard error) | 46 (23) | 48 (32) | 37 (33) | not observable |
| Compound | 28 | 8 | −2 | not observable |

The four terms are computed at the midpoint of each input's range: $w$ of 13.5% (range 8–19%, Table 3), risk aversion 1.9 (1–2.8), ERP 4%, and a mortality term of 0.3–3.5 points for Bitcoin and Ether, 1–3 for a large altcoin (hazard 3.2% a year) and 16–17 for a small coin (17.4% a year) (Section 3). The floor and the required return are medians over the input ranges, with 90% ranges in parentheses (Appendix D.1); a median can lie up to 0.3 points below the sum of the terms above it. For inputs, parentheses give interquartile ranges. Large altcoin: the 57 surviving altcoins with four years of prices; inputs are medians over the last four years, volatility as for Bitcoin. Delivered: the monthly measure of Table 5 over the 100 months from January 2018, when required returns were higher than in 2026, so the two panels are not a test; for altcoins an equal-weighted basket of 84 altcoins, rebalanced monthly and including the 25 that died.

**What altcoins delivered.** The census keeps the coins that died, so the record carries no survivorship bias. An equal-weighted basket of the 84 altcoins with a price history, 25 of which died, earned an average of 37% a year over 2018–26, with a standard error of 33. The basket, rebalanced monthly, compounded at −2% a year (−3% if a coin whose price feed stopped is counted as a total loss). Coin by coin the result is worse: the median altcoin lost 27% a year compounded, 77% of them lost money, and 7% did better than Bitcoin. A high average with a negative compound return is the signature of a lottery, in which a few large winners carry the mean (Barberis and Huang 2008).

**What this section can and cannot say.** The holder weight is that of the average crypto owner, who holds the whole market; an owner concentrated in one coin requires more, and no survey measures such holders. For small coins the paper offers the floor and one fact: half of the smallest quartile is dead within 3.3 years of listing (Figure 7). Bitcoin is the one cryptoasset for which delivered and required returns have

met, which is a statement about its holder base and its survival, not about the equation.

## 7. FOR THE ALLOCATOR

**From required to expected.** So far the paper gives what holders require; an allocator needs a return to expect. The two coincide under one hypothesis, adopted here: *Bitcoin is priced in equilibrium, at the return its holders require* (Section 2). Section 5 gives it some standing: fourteen years of returns are consistent with the required return, and the market is more integrated now than at any earlier date. The 18% (9.5% compounded) is the required return on today's inputs and moves with them: a further fall in the requirement would lower later returns but lift the price while it lasts. J.P. Morgan Asset Management (2026b) assumes 10.0% compounded and 20.9% on average, on a volatility of 55% (Appendix E.3).

**The hurdle.** A diversified allocator should require of Bitcoin what its contribution to her portfolio's risk costs her. She holds it at a small weight, so the concentration term of the MCM equation (1) drops out:

$$\mu_0 \;=\; r_f + \beta\,\mathrm{ERP} + \lambda(1-\delta). \tag{6}$$

The first two terms are **11–13% today**. Of the mortality term, 0.3–3.5 points, she should charge the part she judges systematic rather than diversifiable. The 2022 clustering of elite deaths argues it is partly systematic; we would charge 1–2 points, which makes the hurdle 12–15%. It is the bar Bitcoin must clear to belong in her portfolio at more than market weight.

**Is it worth holding at all?** For the smaller cryptoassets the buy-and-hold record says no: even a diversified holder requires 15–30% a year, and the median altcoin has lost 27% a year since 2018 (Section 6). For Bitcoin's concentrated holders the 18% is what they require and, in equilibrium, what they get, so it carries no alpha for them. A diversified investor does not bear the concentration risk they are paid for, and at a market weight under 1% she barely bears the death risk either: a jump to zero would cost her less than 1% of wealth. Against her hurdle of 12–15% the asset offers about 18%. The difference of 3–6 points is a rent: the premium a still-concentrated holder base demands, open to an investor who holds the asset as a small part of a diversified portfolio (Merton 1987). The rent is what remains of the concentration term, and it shrinks as holders become less concentrated. It is the least certain part of the estimate: zero at the bottom of the 90% range, and absent if holders' own 2025 expectation of 14% is the right one.

**The sizing rule.** The MCM equation, inverted, sizes the position. An investor who expects Bitcoin to return $\hat{\mu}$ and has risk aversion $\gamma$ should hold

$$w^* \;=\; \frac{\hat{\mu}-\mu_0}{\gamma\sigma^2}, \tag{7}$$

the return she expects above her hurdle, divided by what each unit of weight costs her in risk. Worked example: an investor with $\gamma = 3$ who takes the 18% required return as her expected return, at today's $\sigma = 42\%$ ($\sigma^2 \approx 0.18$), a beta of 1.75 and the low reading of mortality: $w^* = (18-5-7-0.3)/(3\times 0.18) \approx$ **11% of financial wealth**. An investor who believes the age rule's 32% gets $w^* \approx 37\%$.

**The Black–Litterman translation.** Equation (7) is the Black–Litterman rule for a single view (Black and Litterman 1992; He and Litterman 1999). That rule starts from the return implied by holding the asset at its market weight $w_m$, here $\mu_0$. A view $\hat{\mu}$ held with confidence $\theta$, between 0 and 1, moves the expected

return part of the way to the view, and the weight in proportion:

$$\bar{\mu} \;=\; \mu_0 + \theta\,(\hat{\mu} - \mu_0), \qquad w - w_m \;\approx\; \frac{\bar{\mu} - \mu_0}{\gamma\sigma^2} \;=\; \theta\,\frac{\hat{\mu} - \mu_0}{\gamma\sigma^2}. \tag{8}$$

This paper supplies both ends of the gap: $\mu_0$ of 12–15% and $\hat{\mu}$ of 18%. Full confidence gives the 11% of the example; half confidence gives about 5%.

**Buy and hold, or rebalance.** Equations (1) and (7) are written on the arithmetic return, and who collects that return depends on what the investor does. A position bought and never rebalanced grows at Bitcoin's own compound rate, so its typical outcome is about 9.5% a year; the 18% is the average across paths, lifted by a few very large ones. On that footing Bitcoin offers little more than a global equity index (about 8% compounded) at three times the volatility. A position rebalanced to a fixed weight is different: the slice contributes its arithmetic return, and the volatility drag is paid on the portfolio, not on Bitcoin (Booth and Fama 1992). Five percent in Bitcoin, held against the S&P 500 and rebalanced, raises the portfolio's expected return by about 0.45 points a year and its volatility from 14.1% to 14.6%, which costs about 0.07 points in extra drag. The premium of this paper is therefore a rebalancer's premium; the buy-and-hold investor should plan on the compound figure. The drag (Table 7) is half the variance (Jacquier, Kane, and Marcus 2003), so it grows with the square of volatility: it takes one to two points from equities and gold, half of Bitcoin's required return, and nearly nine-tenths of Ether's. On average returns Bitcoin's Sharpe ratio is the highest in the table; on compound returns it is 0.11, below every equity index (0.15–0.21), and Ether's is negative.

**Table 7:** Average and compound required returns in 2026.

| | | Required return and risk, % a year | | | | Sharpe ratio | |
|---|---|---|---|---|---|---|---|
| | Beta | Average | Volatility | Drag | Compound | Average | Compound |
| Global equities (MSCI ACWI) | 0.95 | 8.8 | 13.8 | 1.0 | 7.8 | 0.28 | 0.21 |
| S&P 500 | 1.00 | 9.0 | 14.1 | 1.0 | 8.0 | 0.28 | 0.21 |
| Nasdaq-100 | 1.12 | 9.5 | 17.2 | 1.5 | 8.0 | 0.26 | 0.18 |
| Russell 2000 | 1.18 | 9.7 | 19.1 | 1.8 | 7.9 | 0.25 | 0.15 |
| Gold | 0.0 | 5.5 | 15.5 | 1.2 | 4.3 | 0.03 | −0.05 |
| Bitcoin | 1.75 | 18.3 | 42 | 8.8 | 9.5 | 0.32 | 0.11 |
| Ether | 2.35 | 23.4 | 64 | 20.5 | 2.9 | 0.29 | −0.03 |

Required returns in nominal US dollars, not histories (in euros: Appendix E.4). Beta: to the S&P 500; for the equity indices over January 2012 to April 2026, for gold, Bitcoin and Ether the midpoint of the range used. The equity indices are priced by the CAPM, the 5% risk-free rate plus the 4% ERP times beta, with no separate size or style premium. Gold, Bitcoin and Ether are priced by the MCM equation (1) (Table 6; for gold Appendix E, where the figure is an upper bound). Volatility: of monthly returns; for the equity indices and gold over the same months (ETF total returns, dividends reinvested), for Bitcoin and Ether with recent months weighted more (Appendix A.7). Drag: half the variance. Compound: average less drag. Sharpe ratio: the average or compound return, less the 5% risk-free rate, divided by volatility. The ratio on compound returns is descriptive; Sharpe's (1994) measure is defined on average returns.

**Against equities, standing alone.** The S&P 500's expected excess return is the ERP, 4% (6% in the high case). Its volatility was 14% a year over January 2012 to April 2026 (Table 7) and is 16–20% over the long history (Dimson, Marsh, and Staunton 2002), so its Sharpe ratio (Sharpe 1994) is 0.20–0.29, and 0.30–0.43 in the high case. Bitcoin's is $(18.3-5)/42 \approx 0.32$, and about 0.27 once the mortality term, which is compensation for a loss and not a return, is taken out. If the required return is paid, Bitcoin offers about

the same reward per unit of risk as equities on their recent volatility, and somewhat more on their long-run volatility; where there is an excess, it is the concentration premium.

**Which equity index.** On the same pricing a global index, the Nasdaq-100 and the Russell 2000 all have a required compound return of about 8%, because for the higher-beta indices the extra premium and the extra drag nearly cancel (Table 7). Realized returns over those months were much further apart: about 20% a year for the Nasdaq-100, 15% for the S&P 500 and 11–12% for the global index and the Russell 2000. We do not carry those gaps forward: a realized return is not a required one, and indices with similar risk cannot be required to pay very different premiums.

**More equity than gold.** What has changed is the diversification argument. Bitcoin's correlation with equities, about 0.2 before 2020, has been about 0.5 since (Appendix A; Copestake, Furceri, and Terracciano 2024), so about two-fifths of its required return is now payment for a risk the equity investor already holds. Its correlation with gold since 2020 is 0.04, and its beta to equities is 1.75 against gold's 0.1–0.2. On these numbers Bitcoin sits with risk assets, not with gold. The MCM equation gives gold a required return near the risk-free rate (Barro and Misra 2016; Appendix E). "Digital gold" would mean such a return, and Bitcoin is not heading there. If Bitcoin had gold's volatility and gold's dispersed holders, its required return would still be about 14% a year, because it would keep its own beta to equities and its own death risk. This paper does not remove the case for a small Bitcoin position. It removes the case built on a 32% return and zero correlation.

**In Sharpe units.** Dividing the MCM equation (1) by $\sigma$ turns the required return into a required reward per unit of risk, and because $\beta = \rho\,\sigma/\sigma_m$ the market term simplifies:

$$\frac{\mu - r_f}{\sigma} \;=\; \rho\,\mathrm{SR}_m \;+\; \gamma\sigma\,w \;+\; \frac{\lambda(1-\delta)}{\sigma}, \tag{9}$$

where $\rho$ is the asset's correlation with the market and $\mathrm{SR}_m$ the market's Sharpe ratio. For a fully diversified holder of an asset that cannot die the right side collapses to $\rho\,\mathrm{SR}_m$, the CAPM in Sharpe units. The concentration term, $\gamma\sigma w$, is what a holder adds when she owns a lot; $\sigma w$ is the position's contribution to her portfolio volatility, so the ratio depends on its size. Today the market term is about 0.15 (7 points over 42%; a correlation of about 0.5 at a market Sharpe ratio near 0.25–0.3), the concentration term about 0.11 ($1.9 \times 0.42 \times 0.135$) and mortality about 0.05 (1.9 points over 42%): a required Sharpe ratio of about 0.31. Once holders are diluted toward market weight ($w \to 0$) the requirement falls to $\rho\,\mathrm{SR}_m$ plus the mortality term, about 0.20 at today's volatility. Bitcoin's Sharpe ratio exceeds that only because its holders are still concentrated, and integration should push it down. An asset improves a diversified portfolio's Sharpe ratio if and only if its own exceeds $\rho$ times the portfolio's, here about 0.32 against about 0.13, so a small position adds today.

**What about the halving cycle?** The four-year cycle does not enter the required return. The halving changes supply, which is not one of the risks a holder is paid for, and its schedule is known years ahead, so in equilibrium it is in the price and cannot carry a predictable excess return. The past cycles were real (Figure 2): realized returns swinging around the required return, which average out, as they have since 2018.

**What about the upside stories?** The most common is monetary debasement. Returns in this paper are nominal, and the 5.0% risk-free rate of equation (1) already contains the inflation that bond investors expect; only inflation beyond that would be news. Tokenization, payments by AI agents and a flight from government debt under fiscal dominance are claims about future demand, and the equation prices risk. A story

that investors already believe is in today's price and does not raise the return. If the market underestimates one and it arrives, Bitcoin will return more than required, once. Afterward its required return is lower, not higher: less concentrated ownership shrinks the concentration term, and an asset valued as a hedge is one that investors accept a lower return to hold, as with gold (Appendix E).

## 8. LIMITATIONS AND THE MEASUREMENT AGENDA

Like the CAPM, the MCM equation is an equilibrium condition: each holder is content with her position, and together they own the whole asset. The CAPM adds that everyone is fully diversified, which settles who holds what. The MCM equation takes the holders and their weights from the data and does not explain them. Its limits are of measurement and scope.

1. **The holder weight before 2021 is bounded, not measured.** Portfolio-share surveys begin in 2021; everything earlier rests on a market-clearing back-cast for the average owner and on an assumed fully invested early holder, and the 2026 lower bound on an assumed weight for fund and treasury investors (Appendix B). The most valuable upgrade would be the owners' combined share from each survey wave.

2. **Coverage-onset selection in the graveyard.** Assets enter the panel only after becoming significant, so the measured death rate at young ages is a floor (Section 3). This favors our finding that the death rate rises with age, which holds for tracked assets only. Elite estimates are untouched.

3. **Death timing and classification.** Feed and volume deaths lag economic death by months; four elite "deaths" are contested zombies. Appendix C lists every classification, date and recovery fraction; the headline elite hazard moves from 3.5% to 3.15% when the contested cases are dropped.

4. **Bitcoin's own existential era is unmeasurable.** No cross-section existed in 2010–2014 to price its risk of failure. The band's upper edge in those years is the requirement of a fully invested holder, which includes mortality (Section 5); the 2026 required return does not rest on them.

5. **From the surveys to the weight: four approximations.** (a) The survey's 19% is the average of owners' shares, each counting once; equation (2) needs their combined share, all their crypto over all their wealth, which is lower if wealthier owners hold smaller shares. At 12% the required return for 2026 would be 17.2%. (b) Ownership is anchored at 11% of US adults in 2021; at 3% the required return would be 15.7%. (c) Participation is measured in the US and wealth globally; with US household wealth the bands move by amounts well inside their width. (d) The surveys measure crypto as a whole, which we read as Bitcoin's weight (Sections 4 and 6); a back-cast on total crypto capitalization leaves the test unchanged and lowers the 2026 required return by about half a point (Appendix D).

6. **Risk aversion is not measured for holders.** The upper end of the range for $\gamma$ comes from studies of ordinary households; the lower end, 1, is our reading of surveys that find crypto owners more tolerant of risk (Hayashi and Routh 2025; Stix 2021).

7. **The holder weight is endogenous to beliefs.** A weight inflated by over-optimism satisfies the same equation as one forced by segmentation (Section 2); whether it reflects a fair premium is settled by

realized returns (Section 5) and by the option-implied bound, not by the equation. The 2026 required return reads the ETF-era weights as participation-driven, a reading that only later returns can check.

8. **The equation is complete only for the holder it describes.** The premia and yields it leaves out are bounded only loosely, by option prices, stated expectations and the monthly test; a few points in either direction cannot be excluded (Section 2).

9. **The validation is on a survivor, and has limited power.** Delivered returns are consistent with the required return, but the test has little power: since 2018 the gap is 15 points a year with a standard error of 24 (about 40 over the full sample). Early returns ran above the midpoint, Bitcoin is the winner of its cohort, the band is wide, the midpoint is a convention rather than an estimate, and the required return does not track the timing of returns (Section 5). The 2025 survey answer is below the model (Section 4).

10. **The beta to the S&P 500 is unstable.** The rolling four-year beta has ranged from about zero to 3 and the correlation from zero to 0.55 (Appendix A); the 2026 required return uses 1.5–2.0, and a return to pre-2020 correlations would lower it by several points.

11. **The other cryptoassets are measured less well than Bitcoin.** In Section 6 the weights of holders in individual coins are not observed, small coins have no price history, and the delivered averages have standard errors above 30 points. The Bitcoin estimate depends on none of these.

## 9. CONCLUSION

The riddle was that Bitcoin seemed to carry three expected returns at once: 32% from its price trend, 11–16% from the CAPM, 14–22% from its holders' mouths. Only the first was ever an expected return; the second is the hurdle of a diversified investor, and the third is what holders say they expect. What was missing is what those holders should require given the risks they actually bear, and this paper supplies it with the MCM equation: Merton's (1987) limited-participation pricing, with a market term from a rolling beta, a concentration term from surveyed portfolios, and a mortality term from a census of 1,815 cryptoassets. The graveyard shows mortality was never the main story. Concentration was: it supplied most of a required return that ran above 100% a year in Bitcoin's early life. Tested month by month, that required return is in line with what Bitcoin delivered: early returns ran toward the top of its band, and since 2018 the gap is 15 points a year, under one standard error. The simplest reading is that Bitcoin's holders bore a very large risk and were paid for it. One surviving asset cannot rule out another: that they were over-optimistic and happened to be right (Section 5).

What remains, if the asset is priced in equilibrium, is a required return built from observable things: 40-some percent volatility, a beta to equities near 1.75, a holder base diluting toward market weight, a small and datable mortality risk, and a risk-free rate. Those ingredients say about 18% a year on average today, with a 90% range of 15–22%, or about 9.5% compounded, above the 14% that holders themselves reported expecting in 2025; the same equation, fed gold's inputs (Appendix E), returns the risk-free rate plus half a point. The age rule's 32% sits above the band, and the framework says why: it extrapolates a decline that was driven by integration, not by age, and integration has now raised one term while lowering two others.

**For practitioners.** First, where Bitcoin is heading. As its holders diversify, equation (1) collapses to the CAPM, and the CAPM's advice is the familiar one (Tobin 1958; Sharpe 1964): hold the market portfolio and the risk-free asset, in proportions set by one's taste for risk. In that world Bitcoin is an ordinary high-beta asset that belongs in a portfolio at its market weight, under 1%, with a required return of 12–15%. Second, where it is today. Its holders are still concentrated, so it offers about 18% a year (15–22%), 3–6 points more than a diversified investor needs. An investor willing to hold more than market weight, and to rebalance, can collect that premium, up to about 11% of financial wealth at a risk aversion of 3; it is a rent that shrinks as less concentrated holders come in. Third, what a position that is bought and never rebalanced should expect: about 9.5% a year compounded, little more than a global equity index offers, at three times the volatility, and not the 22–28% compounded that its price trend extrapolates to. Throughout, do not treat Bitcoin as uncorrelated (its beta to equities is about 1.75), and charge for mortality explicitly.

**Beyond Bitcoin.** The MCM equation is not specific to Bitcoin: we offer it as a template for any new asset that is volatile, held by few, and able to fail. Applying it takes the asset's volatility and beta, the share of their wealth its holders keep in it, and the rate at which assets of its kind fail. Whatever leads holders to concentrate, whether barriers, information or belief, reaches the required return through one number, their weight. The applications to Ether, smaller cryptoassets and gold rest partly on assumed inputs, so the template is validated on one asset only; tokenized assets, private credit and early-stage equity are natural next tests.


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## DECLARATION OF GENERATIVE AI USE

Generative AI (Anthropic's Claude) was used under the author's direction to write and test the code in the replication package, to produce the figures from that code, and to draft and edit text. The conception of the research, the research design, the choice of the model, the choice of every assumption in it, the choice of figures and tables, the curation of the death classifications, the assessment of prior work and of the paper's contribution, all interpretations and conclusions, and the final text are the author's, who has verified the outputs and takes full responsibility for the content. Generative AI was not used to generate or alter data.

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## DATA AND CODE AVAILABILITY

The full replication package (panel-construction and survival scripts, the curated asset-level panel, all result tables, and every exhibit) is maintained at `https://github.com/apapadogiannis/bitcoin-required-return`. The pipeline ends with an audit script that recomputes and checks every quantitative claim in this paper. Underlying market data are the public Coin Metrics community dataset (snapshot ending May 24, 2026), which the package downloads from its source rather than redistributing.

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## A. MARKET RISK AND THE RISK-FREE RATE

**A.1 How beta is estimated.** Beta is the slope of a regression of Bitcoin's monthly log return on that of the S&P 500, month-end to month-end, with the index represented by the total return of the Vanguard S&P 500 ETF. The S&P 500 stands for the rest of the holder's wealth: the surveyed holders are US households, the ERP of A.4 is measured on the same index, and the true market portfolio is not observable (Roll 1977).

**A.2 The beta used for 2026.** No window is clearly right, so the 2026 required return uses a range, 1.5–2.0 (Table 8). It covers the estimates on the last four years (1.75), the last five (1.8), and since 2020 (1.9), 2016 (1.5) and 2012 (1.8). The two shortest windows give 1.3 and 1.4, with standard errors of 0.5 to 0.6, and are left out. Every estimate is within one standard error (about 0.4) of every other, so the range spans point estimates and is not a confidence interval; widening it to 1.3–2.2, or drawing beta with its sampling error, moves the central estimate by at most 0.1 point (D.1). A global index would change little: against the MSCI ACWI the beta is 1.6 on the last four years, 1.7 on the last five and 1.9 since 2020.

**Table 8:** Bitcoin's beta on the S&P 500, by estimation window.

| Window | Months | Beta | Standard error | Correlation |
|---|---|---|---|---|
| Last 2 years | 24 | 1.26 | 0.64 | 0.39 |
| Last 3 years | 36 | 1.38 | 0.54 | 0.40 |
| Last 4 years | 48 | 1.75 | 0.43 | 0.52 |
| Last 5 years | 60 | 1.81 | 0.38 | 0.53 |
| Since 2020 | 77 | 1.93 | 0.35 | 0.54 |
| Since 2016 | 125 | 1.51 | 0.38 | 0.34 |
| Since 2012 | 173 | 1.77 | 0.45 | 0.29 |

Monthly log returns, month-end to month-end, to May 2026; ordinary least squares. The index is the total return of the Vanguard S&P 500 ETF.

**A.3 The beta used for the path, and why it rose.** For the path of Section 5 beta is re-estimated at each month-end on the previous four years (on all available data before four years exist) and capped at 3 (panel b of Figure 1). It was at or above 3 in 2013–2016, because Bitcoin was so volatile, about zero over the four years to early 2020, and 1.6–2.2 since mid-2022.

*When and why.* The co-movement with equities began in March 2020, not with the spot ETFs of January 2024: Bitcoin's monthly correlation with the S&P 500 was 0.16 over 2012–19, 0.56 over 2020–23 and 0.49 from 2024 to May 2026, with betas of 2.0 (standard error 0.4) and 1.8 (0.6) in the last two periods. We

read the cause as the holder, not the vehicle. Between the 2018 and 2021 surveys the share of adults owning crypto rose from 1.2% to 11% (Appendix B), and investors who hold both crypto and equities sell both when their wealth or their appetite for risk falls. The same retail investors' net purchases of stocks and of crypto became positively correlated from March 2020 (Somoza and Didisheim 2022), the correlation follows the participation of institutional investors (Copestake, Furceri, and Terracciano 2024), and spillovers between the two markets rose with the pandemic (Iyer 2022). Two other channels can be set aside: use of the network (since 2020 the growth of active addresses has a correlation of 0.18 with equity returns, and adding it to the regression leaves the equity coefficient at 1.9) and the fund wrapper (gold ETFs have traded since 2004, yet gold's beta is 0.10, because investors buy gold as a refuge when equities fall; Baur and Lucey 2010).

*A test on holdings.* Figure 4 sets the correlation against the share of the Bitcoin supply held through funds and by public companies, the holders most likely to own equities as well. The share was about 1% from 2014 to 2019, rose to 3.8% during 2020, stayed at 3.8–4.6% to the end of 2023 and reached 12% in May 2026; the correlation was 0.09, 0.56 and 0.49 over 2014–19, 2020–23 and since. The first rise in holdings coincides with the rise in correlation; the second and larger one brought no further rise: a step, not a proportion. March 2020 was a shock to every risky asset, but the correlation over 2020–23 is 0.52 without that month.

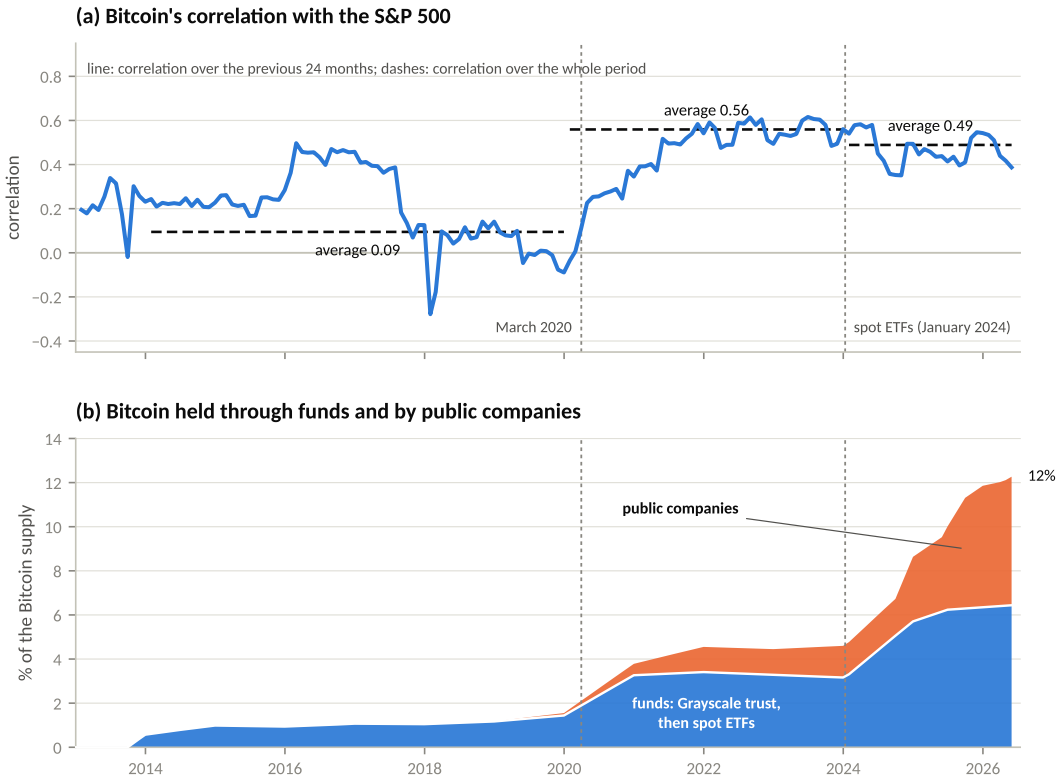



**Figure 4:** Bitcoin's correlation with the S&P 500 and the Bitcoin held through funds and by public companies. (a) Correlation of monthly log returns over the previous 24 months, with the average of each period. (b) Share of the Bitcoin supply held by the Grayscale trust and, from January 2024, the US spot ETFs (funds), and by public companies. Dotted lines: March 2020 and spot-ETF approval. Sources: Appendix B.

**A.4 The equity risk premium (ERP).** The ERP is a forward-looking assumption of 4% at every date,

with 6% as a high case. The premium implied by the level of the S&P 500 and its expected cash flows was 4.2% at the start of 2026 and 4.2–5.9% at each year-end since 2020 (Damodaran 2026). Other forward-looking estimates are lower, 2.6–4.3% from fundamentals (Fama and French 2002) and about 3 points for US large caps (J.P. Morgan Asset Management 2026a); realized premia have been higher (Dimson, Marsh, and Staunton 2002). Each point of premium moves Bitcoin's required return by about 1.75 points.

**A.5 The risk-free rate.** The ten-year US Treasury yield (the CBOE ten-year yield index, from Yahoo Finance). For 2026 it is 5.0%: 5.3% at the end of September 2026, 4.9% at the end of October and 5.0% on November 11. For the path it is the month-end yield of each date, from 1.7% in mid-2012 and 0.7% in mid-2020 to 4.5% in May 2026.

**A.6 Three checks on the market term.** *Is the market term consistent with the concentration term?* The first prices market risk at the ERP, the second prices Bitcoin's own risk with the holder's risk aversion $\gamma$. The same holder would price market risk at $\gamma$ times the market's variance, which for $\gamma$ of 1–2.8 and a market volatility of 16% is 2.6–7.2% a year. The 4% and 6% premia used lie inside that range, so the two terms assume the same investor. *Does the holder's own Bitcoin position change the market term?* Slightly. A holder with a share $w$ of her wealth in Bitcoin has only $1-w$ in the market, so she bears a little less market risk; at $w$ of 8–19% this lowers the term by about one point, less than the width of the beta range. *Is beta inflated because the S&P 500 contains crypto firms?* Hardly. The index's most exposed members, Coinbase, Robinhood and Block, were together 0.2% of it on November 10, 2026 (BlackRock 2026). If they moved one for one with Bitcoin, that would add 0.02 to a beta of 1.75.

**A.7 How volatility is measured.** Every volatility is the standard deviation of monthly log returns in US dollars, times $\sqrt{12}$ (Table 9). For the equity indices and gold it is taken over the whole sample, January 2012 to April 2026, on ETF total returns (iShares MSCI ACWI, Vanguard S&P 500, Invesco QQQ, iShares Russell 2000, SPDR Gold Shares). For Bitcoin and Ether the whole sample (87% and 111%) would describe assets that no longer exist, so recent months are weighted more: $\sigma_t^2 = 12\sum_k \omega_k r_{t-k}^2 / \sum_k \omega_k$, where $r_{t-k}$ is the log return $k$ months back and $\omega_k = 2^{-k/9}$, so that the latest nine months carry half the weight and the latest three years 94%. This gives 42% for Bitcoin in May 2026 and 64% for Ether, and is the volatility used at every month-end in Section 5. On the same basis the equity indices would be 0.7 to 2.9 points more volatile and gold 6.1 points more, which would not change the comparisons of Section 7.

## B. CONCENTRATION RISK

One number is measured: in 2021Q3 US households that owned any crypto held 19% of their financial assets in it on average (Candia, Coibion, Gorodnichenko, and Weber 2026), with the Austrian 2023 survey (OeNB 2025) as a cross-check. Everything else follows from market clearing, run backward and forward from that anchor (Figure 5).

**Why the combined weight.** Holders differ, so whose weight belongs in equation (1)? The answer follows in four steps. We index holders by $h$, since $i$ denotes an asset in Section 6.

*Step 1: one holder.* Let $\pi$ be the premium the asset pays for concentration risk. Holder $h$, with risk aversion $\gamma_h$, adds Bitcoin until that premium just pays for the risk of her own position, $\pi = \gamma_h \sigma^2 w_h$. Her weight is therefore $w_h = \pi/(\gamma_h \sigma^2)$: the more risk-averse hold less.

*Step 2: her dollars.* With wealth $W_h$ she holds $W_h w_h = W_h \pi/(\gamma_h \sigma^2)$ dollars of Bitcoin.

**Table 9:** Volatility by window and by currency, % a year.

| | 2012–2026 | Last 5 years | Last 3 years | Last year | Recent-weighted |
|---|---|---|---|---|---|
| *In US dollars* | | | | | |
| Global equities | **13.8** | 14.9 | 12.2 | 12.7 | 14.5 |
| S&P 500 | **14.1** | 15.7 | 12.9 | 13.1 | 15.1 |
| Nasdaq-100 | **17.2** | 20.4 | 16.4 | 18.7 | 20.1 |
| Russell 2000 | **19.1** | 20.5 | 20.0 | 14.5 | 19.8 |
| Gold | **15.5** | 15.8 | 16.2 | 22.0 | 21.6 |
| Bitcoin | 86.9 | 57.9 | 45.2 | 34.7 | **43.4** |
| Ether | 111.2 | 73.1 | 64.1 | 62.2 | **64.0** |
| *In euros* | | | | | |
| Global equities | 12.6 | 13.0 | 11.2 | 9.9 | 12.9 |
| S&P 500 | 13.8 | 14.7 | 13.0 | 11.1 | 14.4 |

Standard deviation of monthly log returns times $\sqrt{12}$; windows end in April 2026, and the first column starts in January 2012. Global equities: the MSCI ACWI. Recent-weighted: squared returns, exponentially weighted with a half-life of nine months. In bold, the basis used in Table 7; for Bitcoin the paper uses the same measure one month later, 41.8% in May 2026, rounded to 42%. Ether's series begins in August 2015. Euro figures convert each monthly return at the month-end exchange rate.

*Step 3: the market clears.* Every coin is held by someone, so the holders' dollars add up to the capitalization: $C = \sum_h W_h \pi/(\gamma_h \sigma^2)$.

*Step 4: solve for the premium.* The premium $\pi$ is the same for everyone, so it comes out of the sum. With $W = \sum_h W_h$ the holders' total wealth,

$$\pi \;=\; \bar{\gamma}\sigma^2 \frac{C}{W}, \tag{10}$$

which is the concentration term of equation (1) with two substitutions: the weight is the combined weight $C/W$ of equation (2), all holders' Bitcoin over all their wealth, and risk aversion is $\bar{\gamma}$, the holders' average risk aversion, in which wealthier holders count for more (precisely, $1/\bar{\gamma}$ is the wealth-weighted average of $1/\gamma_h$). An example: two holders with the same risk aversion, one with \$10,000 and one with \$1 million, both choose the same weight, say 10%, and the combined weight is also 10%. If the richer one is twice as risk-averse she chooses 5%, the combined weight is $(1{,}000 + 50{,}000)/1{,}010{,}000 = 5.05\%$, and the simple average of the two weights, 7.5%, overstates it. The two readings of Section 5 differ only in whose wealth is counted in $W$: every owner of crypto, or the early holders alone.

**B.1 How many holders: $q_t$.** Equation (2) defines the weight as $w_t = C_t/W_t$, and equation (3) builds holders' wealth $W_t$ from three series: the share of adults who own crypto, $q_t$, wealth per owner, $k_t$, and the Bitcoin held through funds and companies, $I_t$. This appendix gives each in turn. The share $q_t$ is observed at five survey dates $s_1, \ldots, s_5$: 0.4% in mid-2014 and 1.2% in mid-2018 (the Federal Reserve's payment-choice surveys), 11% in 2021Q3, and 12% in mid-2023 and mid-2025 (Candia et al. 2026). At other dates it is

filled in as follows:

$$q_t \;=\; \begin{cases} q_{s_1}\, N_t / N_{s_1} & \text{before the first survey, } t < s_1, \\ q_{s_j}^{1-a}\, q_{s_{j+1}}^{a}, \quad a = \dfrac{t - s_j}{s_{j+1} - s_j} & \text{between two surveys, } s_j \le t \le s_{j+1}, \\ q_{s_5} & \text{after the last survey, } t > s_5, \end{cases} \tag{11}$$

where $N_t$ is the number of Bitcoin addresses holding a balance (Coin Metrics, monthly average). Between two surveys the share therefore grows at a constant rate, and before the first survey it follows the address count. Panel (a) of Figure 5 shows the result, and also the path that would follow the address count throughout, which we do not use: one person can hold many addresses, and an exchange holds one for many people. The 2021 level is the least settled: the Federal Reserve's SHED reports 12% for 2021, the Candia et al. panel about 3% in 2021 and 11% in 2022. We use 11% because the same panel reports portfolio shares as similar in 2021 and 2025, which the back-cast reproduces only if participation is similar too. D.4 gives the alternative.

**B.2 How much wealth they have: $W_t$.** *Surveyed owners.* Their wealth is observed once. In 2021Q3 (date 0) owners held 19% of their financial assets in crypto, so $W_0 = C_0/0.19$, about \$4.3 trillion. For every other date it is extrapolated from that anchor, as in equation (3): $W_t = W_0 \times (q_t/q_0) \times k_t$, the anchor scaled by the number of owners and by wealth per owner. The first factor is the survey path of equation (11). The second is an assumption, since no survey reports the wealth of crypto owners through time: $k_t$ is 0.25 in mid-2012, 1 in mid-2021 and 1.4 in mid-2026, linear in between, so that early owners are taken to have been less wealthy than those of 2021. D.4 replaces it with the growth of US net worth per adult. *Fund and treasury investors.* A second class holds Bitcoin through funds and public companies (Table 10): the Grayscale Bitcoin Trust from September 2013, which became a spot ETF on January 11, 2024 (Grayscale 2017, 2020, 2021, 2024), and public companies, which held little before MicroStrategy's first purchase in August 2020 (Akamo 2022; MicroStrategy 2022, 2023). By mid-2026 the two held 2.5 million BTC, about \$190 billion. These investors are not "crypto owners" in household surveys, and they hold small weights: institutions filing 13F reports held under 1% of their portfolios in Bitcoin ETFs on average in 2025Q3 (CoinShares 2025), and among financial advisers' client portfolios with crypto, 64% held more than 2% (Bitwise 2026). We assume 1.5%, at which they stand for about \$13 trillion of wealth, against \$7 trillion for surveyed owners. At 3% the lower end of the 2026 weight is 12% instead of 8% and the required return 19.0% (Table 14). Some fund investors, and many in the Grayscale trust before 2024, are individuals who may also appear in the surveys; to that extent the lower edge of Section 5 is a lower bound.

**B.3 The weight: $w_t$.** With $q_t$, $k_t$ and $I_t$ in hand, equation (3) gives the average owner's weight. $I_t$ is the Bitcoin of Table 10, linear between its dates, valued at the month-end price. Without $I_t$ the weight counts surveyed owners only; with it, both classes; each is capped at 0.9. The two coincide until the trust begins and form a band afterwards: 15–17% in mid-2017, 20–25% in mid-2019 and 12–19% in 2021Q3. A worked example: in June 2017 capitalization was 4.9% of its 2021Q3 level, the number of owners 8.3% and wealth per owner two-thirds, so $w = 0.19 \times 0.049/(0.083 \times 0.67) \approx 17\%$. Three things should be kept in mind. Only capitalization is observed monthly; ownership is observed at five survey dates, and the wealth ramp and the 1.5% are assumptions. The path spikes at the 2013, 2017 and 2021 peaks, because capitalization moves with the price while participation is smooth (D.3). And coins that are permanently lost, an estimated 3–4

**Table 10:** Bitcoin held through funds and by public companies, million BTC.

| | Funds | Companies | Total | | Funds | Companies | Total |
|---|---|---|---|---|---|---|---|
| End of 2013 | 0.070 | | 0.070 | End of 2020 | 0.607 | 0.096 | 0.703 |
| End of 2014 | 0.135 | | 0.135 | End of 2021 | 0.645 | 0.216 | 0.861 |
| End of 2015 | 0.141 | | 0.141 | End of 2022 | 0.632 | 0.225 | 0.857 |
| End of 2016 | 0.172 | | 0.172 | End of 2023 | 0.620 | 0.281 | 0.901 |
| End of 2017 | 0.176 | | 0.176 | Mid-2024 | | | 1.15 |
| End of 2018 | 0.204 | | 0.204 | Mid-2025 | | | 2.10 |
| End of 2019 | 0.261 | 0.020 | 0.281 | Mid-2026 | 1.25 | 1.26 | 2.5 |

Funds: the Grayscale Bitcoin Trust to 2023, from its filings; US spot ETFs from 2024. Companies in 2022 and 2023: MicroStrategy's reported 132,500 and 189,150 BTC plus the other companies at their 2021 level. The path is linear between these dates and zero before the trust began in September 2013. Halving or doubling the company figures before 2024 moves the lower edge of the band of Section 5 by at most one point and the gaps of Table 5 by 0.1.

million BTC, are not removed from capitalization; removing them would lower every weight by 15–20%.

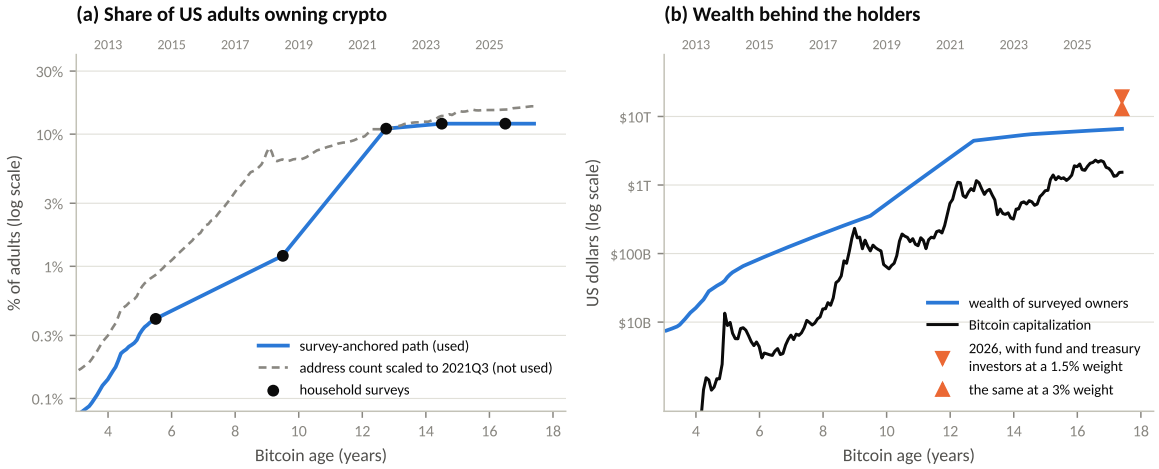



**Figure 5:** Constructing the holder weight. (a) Share of US adults owning crypto: survey points, the log-linear path used, and the address-count alternative not used. (b) Wealth of surveyed owners, Bitcoin's capitalization, and the 2026 totals once fund and treasury investors are added at weights of 1.5% and 3%. Logarithmic scales. The weight itself is panel (d) of Figure 1.

## C. MORTALITY RISK

**C.1 Hazard and age.** The hazard rate at a given age is the fraction of the assets alive at that age that die within the next year, with assets still alive treated as censored. The age rule's most natural defense was mortality: under the "Lindy effect" the hazard falls like $k$ divided by age, and with $k$ near 5.6 the age rule would be fair payment for a risk of death that declines with age. The census does not support it (Table 11).

Among tracked assets the hazard *rises* with age through at least age nine (Figure 6). A Poisson regression of monthly deaths on log age gives an age elasticity of **+0.42 (s.e. 0.04)**, where Lindy requires $-1$ (C.4). A Lindy constant of 5.6 would have implied that a three-year-old cryptoasset had roughly a 1-in-20,000 chance of reaching Bitcoin's current age; the measured elite hazard, held constant, implies a 14-year survival

**Table 11:** Mortality hazard by age, curated death definition (1,815 assets, 520 deaths, 2010–2026).

| Age (years) | Deaths | Exposure (asset-yrs) | Hazard (per yr) |
|---|---|---|---|
| 0.1–0.5 | 6 | 693 | 0.9% |
| 0.5–1 | 37 | 770 | 4.8% |
| 1–2 | 111 | 1,213 | 9.2% |
| 2–3 | 106 | 905 | 11.7% |
| 3–4 | 82 | 661 | 12.4% |
| 4–5 | 78 | 488 | 16.0% |
| 5–7 | 63 | 502 | 12.6% |
| 7–9 | 33 | 198 | 16.7% |
| 9–12 | 4 | 53 | 7.5% |

Buckets begin at age 0.1 (the first weeks of a listing are definitionally alive) and the sparse 12–17 bucket (7 asset-years, no deaths, Bitcoin the main occupant) is omitted; total exposure across all ages is about 5,640 asset-years.

probability around 0.6. Three caveats apply. First, in the oldest populated bucket (ages 9–12) the raw hazard falls back to 7.5%, on 4 deaths and 53 asset-years; the data's support ends near age twelve, and Bitcoin is 17.4. The result describes the asset class over its observed life span, which is why the pricing uses the elite hazard *level* and not an age extrapolation. Second, elite deaths cluster in calendar time (2022, 2024–25): the three jump-collapses sit within six months of one another and were causally linked (Terra propagated through Celsius to FTX), so the Poisson confidence interval, which assumes independent events, understates the uncertainty. Third, twelve of the 36 elite deaths fall in 2025, most of them delistings; C.3 gives the hazard without them.

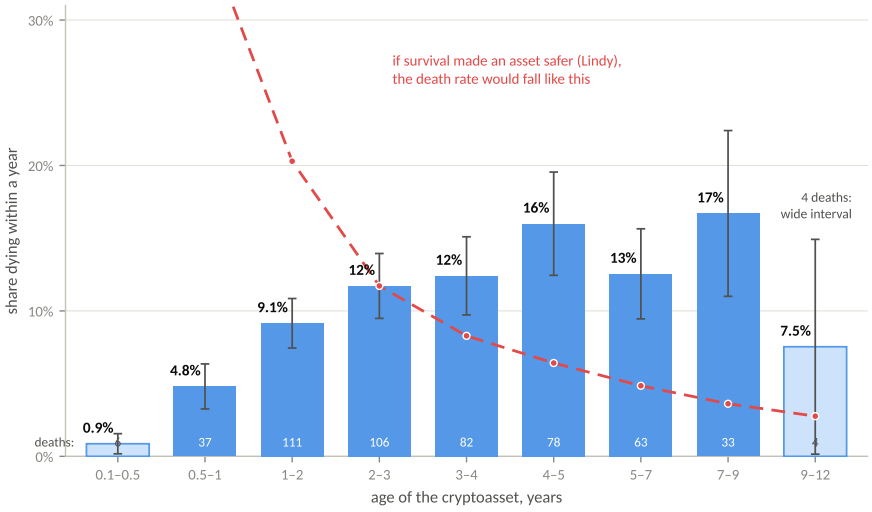



**Figure 6:** The death rate of cryptoassets by age (1,815 assets, 520 deaths, 2010–2026; Table 11). Each bar is the share of the assets alive at that age that die within a year; the number at its foot is the count of deaths, and the whiskers are 95% intervals. Dashed line: the path the death rate would follow if it fell in proportion to age, as the Lindy effect requires, drawn through the bar for ages 2–3. The bars rise instead through age nine; the two pale bars rest on fewer than ten deaths.

**C.2 Size and the elite.** Table 1 sorts the 1,806 assets with volume data by peak trading volume into four

groups of equal number, and Figure 7 shows their survival curves. An asset counts as elite from the month it first ranks in the top twenty (or fifty) by monthly volume. Of the 499 assets that ever reached the top fifty, 118 died, 5.5% a year (95% confidence interval 4.5–6.5%). Most elite deaths are slow fades: OMG, NEM, Bitcoin Gold and their like lost their listings over months or years, during which holders could exit at declining prices. The 520 dead assets are, in the taxonomy of the scarcity framework of Papadogiannis (2025), the "physically scarce but no longer desired" quadrant realized at scale: hard-coded supply caps outlived demand, and scarcity without desirability monetizes nothing.

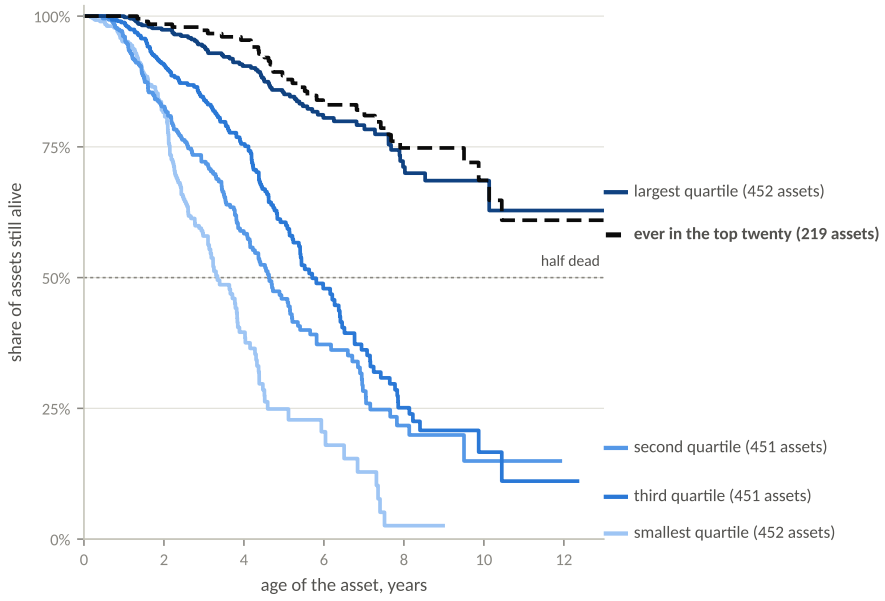



**Figure 7:** Kaplan–Meier survival curves by peak-volume quartile, with the ever-top-20 cohort (dashed). Half of the smallest quartile is dead by age 3.3; the largest quartile and the elite track each other and remain above 60% survival past age 10.

**C.3 The curated elite death table.** Table 12 lists all 36 deaths among the 219 ever-top-20 assets. *Type*: jump = sudden, value-destroying collapse; exchange = failure of the issuing exchange; fade = gradual abandonment and loss of listings; contested = flagged by a mechanical rule although the chain still operates. $\delta$ is the approximate fraction of pre-event value recoverable by a holder, an estimate and not an accounting figure. *Conf.* flags classification confidence (H/M/L). The collapses of LUNA, UST and FTT are dated from the public record. LUNA and UST: May 12, 2022, the day Terra's validators halted the blockchain after LUNA had lost over 99% of its value (Melinek 2022), inside the run of May 7 to 13 documented by Liu, Makarov, and Schoar (2023). FTT: November 10, 2022, the day the Securities Commission of The Bahamas froze the assets of FTX Digital Markets (Securities Commission of The Bahamas 2022); the token had lost three quarters of its value on November 8, and FTX filed for bankruptcy on November 11 (Vidal-Tomás, Briola, and Aste 2023). Dating the three deaths at either end of these windows changes no hazard, confidence interval or elasticity reported here.

**Table 12:** The 36 deaths among the 219 ever-top-20 assets.

| Asset | Death date | Type | $\delta$ | Note | Conf. |
|---|---|---|---|---|---|
| LTL | 2014-12 | fade | $\sim$0 | minor 2013-era coin | M |
| FCT (Factom) | 2021-07 | fade | $\sim$0.05 | sponsor company bankrupt 2020; chain stalled | H |
| LBC (LBRY) | 2021-09 | fade/regulatory | $\sim$0.05 | SEC action 2021; project wound down | H |
| PPT (Populous) | 2021-11 | fade | $\sim$0 | abandoned | M |
| ETP (Metaverse) | 2022-01 | fade | $\sim$0 | abandoned | M |
| NCASH (Nucleus Vision) | 2022-01 | fade | $\sim$0 | delisted majors 2021 | H |
| ZB | 2022-02 | exchange | $\sim$0 | ZB.com halted withdrawals 2022 | H |
| WTC (Waltonchain) | 2022-04 | fade | $\sim$0 | abandoned | H |
| **UST (TerraUSD)** | **2022-05-12** | **jump** | $\sim$0.02 | algorithmic stablecoin depeg | H |
| **LUNA (Terra)** | **2022-05-12** | **jump** | $\sim$0.01 | supply hyperinflation; LUNA2 airdrop gave partial recovery | H |
| QASH (Liquid) | 2022-07 | exchange | $\sim$0 | exchange hacked 2021, absorbed into FTX | H |
| QC (Qcash) | 2022-08 | fade | $\sim$0 | abandoned | M |
| **FTT (FTX Token)** | **2022-11-10** | **jump** | $\sim$0.05 | FTX insolvency | H |
| MITH (Mithril) | 2023-03 | fade | $\sim$0 | serial delistings | H |
| QSP (Quantstamp) | 2023-05 | fade | $\sim$0.02 | token abandoned | M |
| SEELE | 2023-07 | fade | $\sim$0 | abandoned | M |
| VTC (Vertcoin) | 2023-08 | fade | $\sim$0.02 | lost major listings | M |
| MDA (Moeda) | 2023-09 | fade | $\sim$0 | abandoned | M |
| BTS (BitShares) | 2024-06 | fade | $\sim$0.02 | community remnant only | M |
| AE (Aeternity) | 2024-10 | fade | $\sim$0.02 | team wind-down | M |
| BCN (Bytecoin) | 2024-10 | fade | $\sim$0 | long dormant; delisted majors years earlier | H |
| OMG (OMG Network) | 2025-02 | fade | $\sim$0.02 | Binance delisting; development ceased | H |
| KEY (SelfKey) | 2025-04 | fade | $\sim$0 | abandoned | M |
| LOOM (Loom Network) | 2025-05 | fade | $\sim$0 | abandoned | H |
| XEM (NEM) | 2025-05 | fade | $\sim$0.05 | major delistings; earlier opt-in XYM airdrop (2021) | H |
| BTG (Bitcoin Gold) | 2025-06 | fade | $\sim$0.02 | Binance delisting | H |
| LINA (Linear) | 2025-06 | fade | $\sim$0 | project shut down | M |
| PDA (PlayDapp) | 2025-06 | fade | $\sim$0.02 | post-2024-exploit decline (PLA$\rightarrow$PDA swap preceded) | M |
| YFII (DFI.Money) | 2025-07 | fade | $\sim$0 | abandoned fork | M |
| FLOW | 2025-09 | **contested** | n/a | chain operating; >99% below ATH | H |
| MXC | 2025-09 | fade | $\sim$0.02 | rebranding/decline | L |
| STMX (StormX) | 2025-10 | fade | $\sim$0 | abandoned | M |
| NANO | 2025-12 | **contested** | n/a | active community; lost major listings | M |
| ICP (Internet Computer) | 2026-01 | **contested** | n/a | alive, top-100; "death" is an artifact of the listing-day price-spike ATH | H |
| HIFI | 2026-01 | fade | $\sim$0 | delisted | L |
| SUSHI (SushiSwap) | 2026-03 | **contested** | n/a | protocol operating; >99% below ATH | H |

**Headline sensitivities.** All 36 deaths: hazard 3.54%/yr (CI 2.48–4.90). Excluding the four contested cases: 3.15%/yr (CI 2.15–4.44). Treating all twelve 2025 deaths as censoring: 2.36%/yr (CI 1.51–3.51). Jump-collapses only (LUNA, UST, FTT): 0.30%/yr (CI 0.06–0.86). In the ever-top-50 universe the jump

set adds SRM (Serum) and ANC (Anchor), both 2022 casualties of the same two cascades, for 0.23%/yr.

**Migrations excluded as deaths** (holders received successor value): MATIC→POL, EOS→Vaulta (A), FTM→S (Sonic), GNT→GLM, RNDR→RENDER, BTT redenomination, NU→T (Threshold merger), STRAT→STRAX, MAID→eMAID, HT→HTX, REP→REPv2, AGIX→FET (ASI merger), XZC→FIRO, TOMO→VIC, NPXS→PUNDIX, BNX redenomination, and DGD, whose dissolution refunded the ETH treasury to holders.

**C.4 The Lindy regression.** Table 13 reports Poisson regressions of monthly death indicators on log age, with offset $\log(1/12)$ and standard errors clustered by asset, without and with calendar-year fixed effects (FE), which absorb market-wide waves. Lindy requires a coefficient of $-1$. Studies of all listed coins find the opposite sign for young coins: about a third are delisted in their first year (Lansky 2020, as summarized by Aldhahi and Alsamaani 2026), and the odds of a deep, lasting drawdown fall by about a sixth with each year of age (Aldhahi and Alsamaani 2026). Our panel differs in two ways. It holds an asset only from the time the data provider adds it (Section 3). And most of its deaths are abandonments, which a rule based on a fall in volume or price cannot register in an asset's first months. The census therefore says nothing about the infant mortality of new listings. It shows that, among assets significant enough to be tracked, having survived to a given age does not lower the death rate afterwards, which is what a Lindy defense of Bitcoin's returns would need. A Weibull fit to the curated durations agrees: a shape of 1.57 (95% CI 1.47–1.67), where a hazard that falls with age needs a value below 1, and a median lifetime of 6.4 years.

**Table 13:** Age elasticity of the death rate, by death definition.

| Death definition | Deaths | Age elasticity, no FE | Age elasticity, year FE |
|---|---|---|---|
| Strict (feed termination) | 234 | +0.56** (0.07) | +0.44** (0.06) |
| Broad (feed + price) | 263 | +0.69** (0.07) | +0.56** (0.07) |
| Abandonment (all mechanical) | 588 | – | +0.51** (0.04) |
| **Curated (final)** | **520** | – | +0.42** **(0.04)** |
| Curated, 2025 feed-wall removed | – | – | +0.65** (0.08) |
| Curated, birth-cohort FE in place of year FE | 520 | – | +1.62** (0.10) |
| Elite (ever top-20) subsample | 36 | – | +0.68** (0.21) |

Standard errors in parentheses, clustered by asset. ** significant at the 1% level; * at the 5% level. Every coefficient differs from the Lindy value of $-1$ at the 1% level.

**C.5 Risks the census cannot see, and the option-implied check.** The census measures a backward-looking frequency, and some risks have never yet struck any asset. The clearest is a quantum computer able to break the elliptic-curve signatures that secure Bitcoin. The census cannot price such a risk, but option prices bound it. A put pays its full strike if Bitcoin goes to zero, so its price divided by its strike is an upper limit on the market-implied probability of that event before expiry. On November 12, 2026, with Bitcoin at $73,500, the Deribit put struck at $30,000 and expiring on June 25, 2027 was offered at 0.0035 BTC, about $257 or 0.86% of its strike (Deribit 2026). That caps the probability of a collapse to zero at 0.9% before expiry, about 1.4% a year. The cap is loose, because most of the put's price pays for ordinary falls below $30,000 and market-implied probabilities exceed actual ones; it is consistent with the census's 0.30% a year. An investor who assigns, say, a 1% annual probability to a quantum break with half of value lost should add 0.5 points to the mortality term.

## D. ASSEMBLY AND VALIDATION

**D.1 Propagating input uncertainty.** We draw each input independently and uniformly over its range (beta 1.5–2.0 on a 4% ERP; $\gamma \in [1, 2.8]$; $w \in [0.08, 0.19]$; mortality 0.3–3.5 points; $r_f = 5.0\%$; $\sigma = 0.42$), 400,000 times, and compute the required return for each draw. The median is 18.3%, the central 68% range 16.4–20.5% and the 90% range 15.4–21.9%. The uniform assumption is deliberately uninformative; any distribution concentrated toward the interior of the ranges tightens the result. Table 14 changes one assumption at a time: the central estimate stays between 16.6% and 19.8% in every case but the low ownership path of D.4. Independence matters for the width, not the center: if the less risk-averse hold more, risk aversion and the holder weight move oppositely and the range narrows. The same procedure gives Table 6, gold (beta on $[-0.1, 0.1]$, $\sigma$ on $[0.13, 0.20]$, $w$ on $[0.02, 0.10]$, mortality on 0–0.3 points: median 5.5%, 90% range 5.0–6.0%) and Bitcoin's digital-gold endpoint ($\sigma = 0.15$, $w$ on $[0.02, 0.10]$, beta and mortality at Bitcoin's ranges: median 14.2%, 90% range 12.3–16.0%).

**Table 14:** Sensitivity of the 2026 required return, percent per year.

| Case | Median | 90% range |
|---|---|---|
| Baseline | 18.3 | 15.4–21.9 |
| Mortality term 0.3–1.5 points | 17.2 | 14.8–20.7 |
| Mortality term 0.3–2.4 points (without the top-twenty deaths of 2025) | 17.7 | 15.1–21.2 |
| Mortality term 3.5 points (the high reading alone) | 19.8 | 17.5–23.2 |
| Mortality term 0.3 points (the low reading alone) | 16.6 | 14.3–20.0 |
| Risk aversion 1.7–2.8 (household range) | 19.2 | 16.3–22.4 |
| Volatility 35–50% | 18.3 | 15.3–22.7 |
| Volatility 40–55% (option-implied) | 19.4 | 15.9–24.7 |
| Beta 1.3–2.2 (every window of Table 8) | 18.3 | 15.0–22.2 |
| Beta normal, mean 1.75, standard error 0.45 | 18.4 | 14.2–22.9 |
| Holder weight 0.12–0.19 | 19.0 | 16.0–22.4 |
| Holder weight 0.08–0.15 (whole asset class, D.4) | 17.7 | 15.1–20.6 |
| Holder weight 0.08–0.12 (combined share below the survey average) | 17.2 | 14.8–19.7 |
| Holder weight 0.04–0.06 (ownership of 3% at the anchor, D.4) | 15.7 | 13.7–17.7 |
| Risk aversion and holder weight move together | 18.5 | 14.9–23.1 |
| Risk aversion and holder weight move oppositely | 18.1 | 16.3–20.0 |
| All four inputs move together | 18.4 | 13.2–25.1 |

Each row changes one assumption of the baseline and leaves the others as they are. In the last three rows the inputs are drawn with perfect dependence instead of independently.

**D.2 The band and the monthly test.** *The band.* The lower edge of Section 5 is $r_f + 0.85\beta\,\mathrm{ERP} + \sigma^2 w_{lo} + 0.3$ points, and the upper edge is the larger of $r_f + 1.15\beta\,\mathrm{ERP} + 2.8\,\sigma^2 w_{hi} + 3.5$ points and $r_f + w_t^{\mathrm{early}}\sigma^2$, where $w_{lo}$ and $w_{hi}$ are the average owner's weight with and without fund and treasury investors. Ending the fully invested era at the 2014 survey (0.4% of adults) raises the full-sample gap to the upper edge from +7 to +14 points. *The test.* At each month-end $t$ from January 2012 to April 2026 the required return $\mu_t^{req}$ is converted to an expected one-month simple return, $e^{\mu_t^{req}/12} - 1$, and subtracted from Bitcoin's simple return over the following month; Table 5 reports twelve times the average difference and its standard error. Converting before averaging puts the early band averages slightly above a plain average of the values plotted in Figure 2, 157 against 147 for the 2012–14 midpoint and less than half a point after 2020. Standard

errors are conventional (172 observations); robust errors with six lags give the same $t$-statistics to within 0.3. The age rule enters in its one-month form, $((A+1/12)/A)^{5.62}-1$ at age $A$. With the exponent re-estimated each month from the prices then available (5.5–8.2 over 2012–14, 6.0–6.8 in 2015 and 5.6–6.0 from 2016), the age-rule gaps of Table 5 become +41 over the full sample (+48 with the fixed exponent), +121 over 2012–14 (+143), +77 over 2015–17 (+82), and change by two points or less since 2018. Returns are heavily right-skewed: the largest month (November 2013, +451%) contributes 31 points to the full-sample mean of 118, and excluding calendar 2013 the delivered average is 69%, the midpoint 57%, and the gaps +50 (lower edge, $t = 2.5$), +12 (midpoint) and −30 (upper edge). *The regression.* The alphas of Section 5 come from ordinary least squares of Bitcoin's simple return over the following month, less the one-month risk-free return, on the same for the S&P 500; for the MCM alpha the left side is also less the midpoint's concentration and mortality terms at the month-end. The slopes are 2.06 and 2.07 over the whole sample and 1.63 and 1.65 since 2018. With robust errors (six lags) the $t$-statistics are 2.5 and 1.1 over the whole sample and 1.0 and 0.1 since 2018. By period the CAPM and MCM alphas are +185 and +40 (2012–14), +141 and +93 (2015–17), +53 and +20 (2018–20), +10 and −7 (2021–23) and −1 and −15 (2024–26); only the CAPM alpha of 2015–17 ($t = 3.0$) differs from zero at the 5% level. The cumulative lines of panel (d) of Figure 3 use, for each month, the four-year beta known at the start of that month, so they are out of sample; their average slopes are 91 and 38 points a year over the whole sample and 24 and 2 since 2018, close to the regression alphas. *Grouping.* The three-year periods of Table 5 are a judgment: long enough to average over most of a boom and a bust, short enough to leave five periods. By calendar year Bitcoin's average return lies inside the band in 3 of the 15 years, above it in 7 and below it in 5, with gaps to the midpoint of −281 to +625 points. In two-year periods the midpoint is rejected in 2014–15 (gap −147, $t = -2.9$) and in 2016–17 (+154, $t = 2.5$), and in no period since 2018. In four-year periods, about one cycle, the gaps are +87, +64, +38 and +10, none significant.

**D.3 Level, not timing.** The required return passes a test of level and is a poor guide to timing; the age rule describes the path better. Over the 113 overlapping five-year windows starting January 2012 to May 2021, the midpoint at the window's start misses the realized average return by 58 points on average and has a correlation of 0.28 with it; the age rule misses by 28 points, has a correlation of 0.86, and is closer in 90% of windows (32 points, 0.72 and 83% with the real-time exponent). The reason is in the inputs. A regression of forward five-year log growth on $\sigma^2 w$ gives a coefficient of −0.8 ($t = -5.9$; overlapping windows, so the statistic is descriptive): the quantity is highest at market peaks, because capitalization sits in the numerator of $w$ and trailing variance is highest after a run-up, and returns after peaks are low.

**D.4 Other paths for the holder weight.** Three judgments in the back-cast of Appendix B can be made differently (Table 15). *Wealth per owner.* Replacing the ramp with the growth of US household net worth per adult (Federal Reserve Z.1, about $80T in 2013 to $170T in 2026) assumes that early holders were as wealthy as the average American, and lowers the early weights and the lower edge. *Ownership in 2021.* With the path of the Candia et al. panel, 3% in 2021Q3 and 11% by mid-2022, every weight but the anchor is lower: 5% in 2017 (baseline 17%) and 4–6% in 2026, at which the 2026 required return would be 15.7%. We do not use this path. It implies that owners' portfolio share fell by two-thirds between 2021 and 2025, where the survey reports the two as similar, and it gives the owners of 2021 about $560,000 of financial assets each, against $150,000 on the baseline. *The whole asset class.* The back-cast clears Bitcoin's own capitalization against owners' wealth, which assumes that Bitcoin's share of the asset class stayed at its

2021Q3 value. It did not: 95% in 2013, 38% in mid-2017, 48% in 2021Q3 and 74% in May 2026. Clearing the whole class gives a weight of 1.7% in 2013 (baseline 3.4%) and 21% in 2017 (17%), and 15% in place of 19% as the upper end of $w$ for 2026, at which the required return is 17.7% (90% range 15.1–20.6%). We keep 19% because it is a survey number that the 2025 wave confirms. On every path the gap to the midpoint since 2018 is within one standard error (24).

**Table 15:** Other paths for the holder weight.

| | Weight | Band, % a year | | Gap to the midpoint | |
|---|---|---|---|---|---|
| Path | in 2026, % | 2013 | 2026 | 2012–26 | 2018–26 |
| Baseline | 8–23 | 21–231 | 12–27 | +54 | +15 |
| Wealth per owner as US net worth per adult | 9–29 | 18–231 | 12–30 | +54 | +14 |
| Ownership of 3% in 2021Q3 | 4–6 | 15–231 | 11–19 | +61 | +21 |
| The whole asset class | 8–15 | 17–231 | 12–23 | +55 | +14 |

Weight: the average owner's, with and without fund and treasury investors. Band: mid-2013 and May 2026. Gap: delivered minus required, as in Table 5.

## E. EXTENSIONS

**E.1 Gold, as a check on the equation.** Gold is the one other large asset that pays no income, and each of its inputs sits at the opposite end of the range from Bitcoin's. *Market risk.* Gold's correlation with equities is close to zero over long samples (Erb and Harvey 2013). In our sample its beta on the S&P 500 is 0.10 (s.e. 0.08) over January 2012 to April 2026 and 0.17 (s.e. 0.10) since 2020; we use $\beta \in [-0.1, 0.1]$, and a beta of 0.1 adds 0.4 points. *Concentration.* About 224,000 tonnes are above ground, of which 44% is jewelry, 18% central-bank reserves, and 23% private bars, coins, and ETFs (World Gold Council 2026), worth about $29 trillion, some 6% of global household wealth; the typical holder has a few percent in it. With volatility of 13–20% (13.1% over 1836–2011 in Barro and Misra 2016), a holder weight of 2–10% and $\gamma \in [1, 2.8]$, the term is 0–1.1 points, median 0.3. *Mortality.* Gold has no failure mode that destroys the asset; the closest analogues are sovereign restrictions, and we allow 0–0.3 points. The required return is therefore about 5.5% a year (90% range 5.0–6.0%; envelope 4.6–6.8%): the risk-free rate plus half a point, a Sharpe ratio near zero. It is best read as an upper bound, because the holders of jewelry and reserves, over 60% of the stock, receive a service the equation does not count, the unobserved dividend of Barro and Misra (2016). Investors cannot expect to be paid for gold's price moves, which are unrelated to the rest of their wealth and spread over holders who each own little. The long record agrees: Barro and Misra (2016) find that gold's real price appreciation averaged 1.1% a year over 1836–2011, about what Treasury bills earned, with a covariance with consumption indistinguishable from zero. Gold's 26% a year from the end of 2023 to November 2026 (LBMA 2026) was news, not a payment for risk.

**E.2 What "digital gold" would mean.** If Bitcoin's volatility fell to gold's 15% and its holders became as dispersed as gold's, the concentration term would all but vanish, and what remained would be the two terms gold does not carry: a beta of 1.5–2.0 and a mortality term of 0.3–3.5 points. The equation then gives about 14% a year (90% range 12–16%). Only if Bitcoin also became as uncorrelated with equities as gold and as immune to failure would its required return reach gold's 5–6%. It has been moving the other way: since 2020 its monthly returns have a correlation of 0.54 with the S&P 500 and 0.04 with gold (0.16 and

$-0.02$ before), and in a regression on both, the equity coefficient is 2.0 ($t = 5.6$) and the gold coefficient is indistinguishable from zero.

**E.3 Related estimates and approaches.** *Asset managers.* Several managers publish long-term assumptions for Bitcoin. Most are adoption scenarios, in which a share of a target market is assumed and the price follows, with no risk premium: 3–10% a year over ten years (Galindo, Psaila, and Tailor 2025), 15% a year to 2050 (Sigel and Bush 2026), and 28% and 30% a year to 2035 (Bitwise 2025; Selby 2025). J.P. Morgan Asset Management (2026b, pp. 47–48) included Bitcoin in its long-term assumptions for the first time in October 2026: a compound return of 10.0% and an arithmetic return of 20.9%, on a volatility of 55%, with a range of $-11.2\%$ to 16.6% compounded. Our 9.5% and 18.3% on 42% are close, by a different method: the 10.0% is a weighted average of three price frameworks (supply growth against money growth, Bitcoin as a complement to gold, and network adoption, with weights of 65, 30 and 5). The authors add that Bitcoin "mostly trades like a high beta risk asset". *Beliefs and demand.* Benetton and Compiani (2024) estimate the demand for cryptocurrencies from surveys of investors' beliefs, and Duchin, Solomon, Tu, and Wang (2025) ask which beliefs justify a given portfolio weight. Both go from beliefs to holdings, where equation (1) goes from holdings to the return that justifies them. Milne (2025) finds a zero or negative optimal share for a stock investor when Bitcoin's long-run return is set by efficient-market assumptions; in our terms a positive share rests on the two premia the CAPM omits. *Failure.* Taleb (2021) argues that an asset that pays nothing and has any chance of failure is worth nothing; in the pricing of jumps the holder is instead paid for the hazard while the asset lives. Liu and Tsyvinski (2018) backed a disaster probability of about 0.4% a day out of Bitcoin's returns under risk neutrality; the census measures 0.3–3.5% a year for assets of Bitcoin's standing. Ammann, Burdorf, Liebi, and Stöckl (2022) measure the survivorship bias that dead coins leave in returns, 62 points a year for equal-weighted portfolios and under one point for value-weighted ones. *Undiversified owners.* The concentration term is the cost of capital that corporate finance assigns to owners who cannot diversify: entrepreneurs (Moskowitz and Vissing-Jørgensen 2002), managers who cannot sell their shares (Kahl, Liu, and Longstaff 2003), and venture investors (Kerins, Smith, and Smith 2004). We apply it to a traded asset whose holders are concentrated by choice.

**E.4 Table 7 for a euro investor.** Table 16 restates Table 7 for an investor whose money is in euros and who does not hedge the currency. *The risk-free rate* is the ten-year German Bund yield, 3.4%: 3.6% at the end of September 2026 and 3.3% at the end of October and on November 11–12 (Investing.com 2026; Trading Economics 2026). *The premium* of each asset is the one of Table 7. A euro investor who hedges the dollar earns the dollar premium on top of the euro rate (covered interest parity). One who does not hedge earns the same on average if the dollar is expected to lose the difference between the two rates, 1.6% a year, against the euro. This is uncovered interest parity, which holds better over long horizons than over short ones (Chinn and Meredith 2004); it is an assumption, and the table rests on it. *Volatility* is measured on returns converted to euros at month-end exchange rates. For equities and gold it is lower than in dollars, by 0.3 to 1.2 points: the euro's monthly change against the dollar has a correlation of 0.2 to 0.4 with their dollar returns, so the dollar tends to rise when equities fall. For Bitcoin and Ether the volatility is the same in both currencies: the euro's volatility against the dollar, 7% a year, is small beside theirs, and its correlation with Bitcoin's return is 0.05.

The ranking of the assets is that of Table 7, and for Bitcoin nothing changes but the level: 16.7% on average and 7.9% compounded, with the same Sharpe ratios. Measured against the global index, Bitcoin's

**Table 16:** Average and compound required returns in 2026, for a euro investor.

| | | Required return and risk, % a year, in euros | | | | Sharpe ratio | |
|---|---|---|---|---|---|---|---|
| | Beta | Average | Volatility | Drag | Compound | Average | Compound |
| Global equities (MSCI ACWI) | 0.95 | 7.2 | 12.6 | 0.8 | 6.4 | 0.30 | 0.24 |
| S&P 500 | 1.00 | 7.4 | 13.8 | 1.0 | 6.4 | 0.29 | 0.22 |
| Nasdaq-100 | 1.12 | 7.9 | 16.9 | 1.4 | 6.5 | 0.27 | 0.18 |
| Russell 2000 | 1.18 | 8.1 | 18.8 | 1.8 | 6.3 | 0.25 | 0.16 |
| Gold | 0.0 | 3.9 | 14.5 | 1.1 | 2.8 | 0.03 | −0.04 |
| Bitcoin | 1.75 | 16.7 | 42 | 8.8 | 7.9 | 0.32 | 0.11 |
| Ether | 2.35 | 21.8 | 64 | 20.5 | 1.3 | 0.29 | −0.03 |

Beta: measured in dollars, as in Table 7; measured in euros the betas of the global index and of gold would be 0.88 and 0.00, and the others would differ by 0.03 at most. Required returns in nominal euros for an unhedged investor: the 3.4% euro risk-free rate plus each asset's premium in Table 7. Volatility: of monthly total returns (dividends reinvested) converted to euros, over the windows of Table 7. Drag: half the variance. Compound: average less drag. Sharpe ratio: the average or compound return, less 3.4%, divided by volatility. A hedged euro investor has the averages of this table and the volatilities of Table 7.

compound return is 1.5 points higher in euros (7.9% against 6.4%) and 1.7 points higher in dollars (9.5% against 7.8%), at more than three times the volatility in both.